

753 F.Supp.3d 849

United States District Court, N.D. California

**IN RE SOCIAL MEDIA ADOLESCENT ADDICTION/PERSONAL INJURY PRODUCTS
LIABILITY LITIGATION**

MDL No. 3047

Decided October 15, 2024

Opinion of the court

Opinion makes the statement in a context that renders it deceitful. See, e.g., *Jones v. Corus Bankshares, Inc.*, 701 F. Supp. 2d According to Meta, the States’ main theory of deception 1014, 1027–28 (N.D. Ill. 2010) (“[S]tatements that would relates to Meta’s statements that its services were “safe” for otherwise amount to puffery can be actionable if the speaker young users. Any statements regarding “safety” or “wellis aware that the statement is deceptive.”); *In re Takata Airbag being*,” Meta argues, are statements of opinion, not fact, and *Prod. Liab. Litig.*, 462 F. Supp. 3d 1304, 1318 (S.D. Fla. so are nonactionable. 2020) (marketing of safety features can “cross the line from [18] [19] [20] “[W]hether a statement is deemed puffery mere puffery to active misrepresentation” when the speaker has “actual knowledge of the alleged safety defect”) (first is a question of fact to be resolved by the finder of fact quoting *In re Gen. Motors LLC Ignition Switch Litig.*, 257 F. except in the unusual case where the answer is so clear that Supp. 3d 372, 457 (S.D.N.Y. 2017)); *Williams*, 552 F.3d at it may be decided as a matter of law.” *Commonwealth by 939 n.3* (9th Cir. 2008) (alleged statement resembling puffery *Shapiro v. Golden Gate Nat’l Senior Care LLC*, 648 Pa. 604, “certainly contributes, however, to the deceptive context of 194 A.3d 1010, 1024 (2018); *In re Chrysler-Dodge-Jeep the packaging as a whole*”). *Ecodiesel Mktg., Sales Pracs., and Prod. Liab. Litig.*, 295 F. Supp. 3d 927, 1004–05 (N.D. Cal. 2018) (“[W]hether a statement is deemed puffery is generally considered a question of fact, not law, although there are instances in which the answer is so clear that the issue may be decided as a matter of law”). To be actionable, “a statement must be ‘specific and measurable’ and capable of being proven true or false.” *Azoulai v. BMW of N. Am. LLC*, 2017 WL 1354781, at (N.D. Cal. Apr. 13, 2017) (quoting *Southland Sod Farms v. Stover Seed Co.*, 108 F.3d 1134, 1145 (9th Cir. 1997)) (“[T]here is nothing ‘specific and measurable’ about the word ‘safely.’ ”). Courts routinely dismiss misrepresentation claims based on generalized allegations of “safety.” *Id.* at (citing, e.g., *Morris v. Princess Cruises, Inc.*, 236 F.3d 1061, 1068 (9th Cir. 2001) (representation that consumers “would be safely and adequately served” failed to state a claim because the statement “is devoid of any meaningful specificity”)).³⁸ For example, in *In re Yahoo! Inc. Customer Data Sec. Breach Litig.*, plaintiffs alleged two misrepresentations: (i) that protecting Yahoo!’s systems and user information is “paramount” to ensuring a secure user experience and maintaining user trust, and (ii) that defendants had physical, electronic, and procedural safeguards that comply with federal regulations to protect user information. No. 16md-02752, 2017 WL 3727318, at (N.D. Cal. Aug. 30, 2017). The court held that the first statement was “mere puffery on which a reasonable consumer could not rely” while the second statement made a “specific, non-subjective guarantee” that merited reasonable reliance. *Id.*

The alleged misrepresentations in the Multistate Complaint run the gamut of specificity. On one end of the spectrum, the complaint notes that “Instagram’s website characterized the Instagram app as a ‘safe and supportive community’ for its users.” (Multistate Compl. ¶ 130.) In isolation, characterizing Instagram

as “safe and supportive” hardly resembles a “specific and measurable” statement of fact. See *Azoulai*, 2017 WL 1354781, at . [22] Some allegations, though, may be considered deceptive in context. Consider the allegation that Adam Mosseri, the head of Instagram, in June 2019 “told CBS in an interview that teen well-being is a top priority. And two years later, in May 2021, Mosseri minimized Instagram’s negative impact on teens, characterizing it to reporters as ‘quite small,’ as reported by the Wall Street Journal that September.” (Multistate Compl. ¶ 126.) Yet internal documentation from Meta in March 2019, for example, is alleged to conclude that the “ ‘average net effect’ of Meta’s Platforms on its users is ‘slightly negative,’ ” while acknowledging that “social media can be helpful for youth well-being when the use is ‘moderate.’ ” (Id. ¶ 423.) The Court cannot say as a matter of law that Mosseri’s representation of Instagram’s negative impact as “quite small” is nonactionable when some of Meta’s own researchers are alleged to have determined that its average net impact on all users was negative. See *Jones*, 701 F. Supp. 2d at 1027–28

Finally, other allegations, despite Meta’s urging to the contrary, do resemble direct misrepresentations. Recall Project Daisy, the internal Meta research experiment to determine whether hiding Like counts on Instagram decreases negative social comparison. “[I]n an interview with press in May 2021 about why Meta did not implement Daisy as a default setting, Mosseri stated ‘there was very little impact and the result was neutral,’ and, therefore, Meta made Daisy an opt-in feature.” (Multistate Compl. ¶ 287.) Yet, Project Daisy is alleged to have reduced the negative impact of seeing posts with many likes (id. ¶ 242), and so, contrary to Mosseri’s statement, it did not have a “neutral” result, at least as alleged.³⁹ These are but a few examples of the statements alleged in the Multistate Complaint. Altogether, these isolated representations are part of a cohesive whole which, as alleged, form a deceptive scheme by Meta to obfuscate the risks of serious harm stemming from platform use—in other words, a scheme to hide a variety of objective risks to user safety and well-being. Certainly, some of the alleged statements in isolation may be nonactionable, but given the plausible breadth of allegations, the Court cannot say that Meta’s statements all constitute nonactionable puffery at this stage. This case does not resemble the situation in *Yahoo!*, which involved essentially only two alleged misrepresentations. The States here allege a yearslong course of conduct replete with numerous public statements regarding user safety varying widely in character and degree of deceit. The motion on this ground is denied

2. Sufficiency of Pleading Falsity under Rule 9(b)

the parties to the misrepresentations.” *Swartz v. KPMG LLP*, 476 F.3d 756, 764 (9th Cir. 2007) (quoting *Edwards v. Marin Park, Inc.*, 356 F.3d 1058, 1066 (9th Cir. 2004)). A “claim is said to be ‘grounded in fraud’ or to ‘sound in fraud’ ” when the plaintiff “allege[s] a unified course of fraudulent conduct and rel[ies] entirely on that course of conduct as the basis of a claim.” *Vess v. Ciba-Geigy Corp. USA*, 317 F.3d 1097, 1103 (9th Cir. 2003). Meta argues the plaintiff “must set forth an explanation as to why the statement or omission complained of was false or misleading.” *In re GlenFed, Inc. Sec. Litig.*, 42 F.3d 1541, 1548 (9th Cir. 1994).⁴¹ However, Meta relies too heavily on securities cases rather than common-law fraud cases. Rule 9(b) requires that a pleading be specific, not that a pleading be free of potential factual disputes. By and large, the states’ allegations more than adequately point to the time, place, content, and speaker of the misrepresentations. (See, e.g., Multistate Compl. ¶ 427 (“On December 8, 2021, Mosseri told Congress, ‘I don’t believe that research suggests that our products are addictive.’ ”).) Meta’s arguments otherwise largely dispute whether certain sets of statements should be characterized as deceptive—typically a factual issue. [28] Under-13 Account Policy. The States allege that “[d]espite its

public-facing claims that users under the age of 13 are not allowed on Instagram, ... Meta's private internal documents reveal that Meta has coveted and pursued the under-13 Instagram user demographic for years.” (Multistate Compl. ¶ 648.) Even if true, Meta argues these two facts are not contradictory and thus not deceptive—it can be true that Meta both removes under-13 users once detected and is aware of under-13 platform usage

Meta misapprehends the States’ theory of deception. According to the States, Meta's statements were rendered deceptive by pervasive inaction and noncompliance with its under-13 policy. In support, the states plead (i) specific P. 9(b).⁴⁰ Meta here focuses on three theories of instances of Meta's inaction (e.g., Meta employee “couldn't deception presented by the States: misrepresentations as to (i) tell for sure” if user was under 13 despite confirmation from Meta's under-13 account policy, (ii) the prevalence of harmful the mother of a 12-year-old girl with four accounts, id. ¶ 668); content, and (iii) Project Daisy. (ii) how, “[a]s a matter of policy, Meta employees generally do not take action if the reported account does not contain a user [24] [25] [26] [27] Rule 9(b) requires claims that “sound bio or photos” (id. ¶ 686); and (iii) internal admissions that in fraud” plead with particularity the “time, place, and specific content of the false representations as well as the identities of Meta argues that the States’ deceptive practices claims “sound in fraud” and so “must state with particularity the circumstances constituting fraud or mistake.” Fed. R. Civ

Meta does “very little to keep U13s off [the] platform” (id. ¶ 647), among other allegations. The States have set forth a plausible theory of deception. Selective application of Meta's under-13 policy combined with an alleged pattern of pervasive inaction can render deceptive Meta's reassurances to the contrary

teens.” (Id. ¶¶ 261–62; id. ¶ 290 (Project Daisy “is one of the clearest things (supported by research) that we can do to positively impact social comparison and well-being on” Instagram).) Nonetheless, Project Daisy was projected to damage revenue (id. ¶ 250) and got “stuck in a political war” among Meta's leadership (id. ¶ 264). The motion on this ground is denied

Prevalence of Harmful Content. The States allege that statements regarding “the incidence or prevalence of negative or harmful user experiences on” Instagram and Facebook were deceptive. Id. ¶ 846(c). The States argue, in particular, that the CSER, or Community Standard Enforcement Reports, which “describe the percentage of content posted on Instagram and Facebook that Meta removes for violating Instagram and Facebook's Community Standards or Guidelines” (id. ¶ 461), are deceptive because Meta publishes only favorable data in its CSER reports and omits relevant information from its TRIPS and BEEF reports. For example, while Meta's CSER report from the third quarter of 2021 “concluded that only ‘0.05-0.06%’ of views on Instagram were of content that violated Meta's standards on bullying and harassment,” contemporaneous internal user survey data indicated that 28.3% of surveyed Instagram users “witnessed bullying on the platform within the last seven days.” (Id. ¶¶ 490–91.) Again, Meta argues the facts, the death knell in a motion to dismiss. The Court cannot say that, as a matter of pleading, the States have failed to allege actionable deception. [30] Project Daisy. As already discussed, Project Daisy was a proposal to remove “Like” counts on posts from a user's default view. In public statements, Meta had explained that Project Daisy was not implemented because it was “beneficial for some, and annoying to others,” and that it “ultimately didn't have as strong an impact as we'd hoped,” among other statements. (Multistate Compl. ¶¶ 284–87.) Meta again seeks to argue the alleged falsity of these statements. [31] As before, the States have plausibly alleged that Meta's representations regarding Project Daisy could be considered deceptive to a finder of fact, particularly if evaluated as one component of a broader pattern. Meta's explanation of Project Daisy's demise need not be “false” to be nonetheless

actionable and misleading. As alleged, Meta researchers “HUGELY pushed” for Project Daisy as a “default for

3. Materiality of Alleged Deceptions [32] [33] [34] A representation is considered “material” if the representation would affect a reasonable person’s choice of or conduct regarding a product. See, e.g., *Kwikset Corp. v. Superior Ct.*, 51 Cal. 4th 310, 332, 120 Cal.Rptr.3d 741, 246 P.3d 877 (Cal. 2011).⁴² “[T]he materiality of a misrepresentation is typically an issue of fact, and therefore should not be decided at the motion to dismiss stage.” *Hinojos v. Kohl’s Corp.*, 718 F.3d 1098, 1107 n.7 (9th Cir. 2013). With respect to the materiality argument, Meta focuses on statements regarding its alleged goals around increasing users’ time spent on its platforms—e.g., Mark Zuckerberg’s March 25, 2021, congressional testimony that “it is a common misconception that our teams—our goals, or even have goals [sic], of trying to increase the amount of time that people spend.” (Multistate Compl. ¶ 137.) Other statements are marked as immaterial in Meta’s appendix. (See Dkt. No. 517-1.) Given the Court’s assessment above that numerous allegations suffice Rule 9(b)’s pleading standard and constitute actionable misrepresentations as alleged, the Court holds that the States have alleged material misrepresentations that survive a motion to dismiss. The Court declines to isolate and carve out the actionability of individual statements (like the one quoted in the paragraph prior) for the same reasons discussed earlier. The States are permitted to have a factual assessment of individual statements in the context of the alleged scheme of deception as a whole. See *Williams*, 552 F.3d at 939 n.3. The motion on this ground is denied

4. Noerr-Pennington Meta claims that all of its executives’ statements to Congress are nonactionable because congressional testimony is protected under the First Amendment following the Noerr-Pennington doctrine.⁴³ [35] To determine whether a defendant’s conduct is immunized under Noerr-Pennington, courts consider “(1) whether the lawsuit imposes a burden on petitioning rights, (2) whether the alleged activities constitute protected petitioning activity, and (3) whether the statute at issue may be construed to avoid that burden.” *B&G Foods N. Am., Inc. v. Embry*, 29 F.4th 527, 535 (9th Cir.) (cleaned up), cert. denied, — U.S. —, 143 S. Ct. 212, 214 L.Ed.2d 83 (2022). [36] Meta appears to argue that Noerr-Pennington immunizes any false statements made in legislative proceedings. That reading is unsupportable. Noerr-Pennington immunizes only “protected petitioning activity.” *B&G Foods*, 29 F.4th at 535. Because Meta has presented “no evidence that [it] was seeking any redress from Congress that implicates its First Amendment right to petition,” and “[i]n light of the underdeveloped factual record and the abbreviated legal arguments,” the Court declines to dismiss any aspect of the States’ claims under Noerr-Pennington at this stage. See *In re Apple Inc. Sec. Litig.*, No. 19-cv-02033-YGR, 2020 WL 2857397, at (N.D. Cal. June 2, 2020). The motion on this ground is denied. B. Unfair and/or Unconscionable Business Acts or Practices Meta moves to dismiss consumer protection claims under the unfair and unconscionable acts or practices prong asserted by twenty-seven of the thirty-four states. The Court has held that Section 230 bars the States’ unfairness claims relating to many platform features, except for allegations relating to appearance-altering filters, features that hinder time restrictions, and the “multiple accounts” function. These claims proceed to an assessment on the merits

With respect to the balance, the parties first dispute the standard applied by each state for unfair and/or unconscionable acts or practices prong of the consumer protection claims. More particularly, the applicability of Section 5 of the Federal Trade Commission (“FTC”) Act, the Sperry factors,⁴⁴ or other state-specific standards. Because at least one state puts every test at issue, the Court considers each

1. Section 5 of the FTC Act Under Section 5 of the FTC Act, “an unfair practice or act is one that ‘[1] causes or is likely to cause substantial injury to consumers [2] which is not reasonably avoidable by consumers themselves and [3] not outweighed by countervailing benefits to consumers or to competition.’” *FTC v. Neovi, Inc.*, 604 F.3d 1150, 1155 (9th Cir. 2010) (quoting 15 U.S.C. § 45(n)). Meta contends that the States’ allegations fail under all three elements. [37] [38] Substantial Injury. “In most cases ‘substantial injury’ involves monetary harm.” *FTC v. Direct Mktg. Concepts, Inc.*, 569 F. Supp. 2d 285, 299 (D. Mass. 2008), *aff’d*, 624 F.3d 1 (1st Cir. 2010); *Am. Fin. Servs. Ass’n v. FTC*, 767 F.2d 957, 972 (D.C. Cir. 1985) (“In elaborating the term ‘substantial injury’ in its Policy Statement, the Commission stated that in most cases substantial injury would involve monetary harm”). Even where not monetary, “[a]n act or practice can cause ‘substantial injury’ by doing a ‘small harm to a large number of people, or if it raises a significant risk of concrete harm.’” *Neovi*, 604 F.3d at 1157 (quoting *Am. Fin. Servs. Ass’n*, 767 F.2d at 972); see also *FTC v. Accusearch, Inc.*, No. 06-cv-105, 2007 WL 4356786, at (D. Wyo. Sept. 28, 2007) (noting in addition to economic harm evidence of “a host of emotional harms that are substantial and real and cannot fairly be classified as either trivial or speculative” caused by the business practice), *aff’d*, 570 F.3d 1187 (10th Cir. 2009). The States plausibly allege that Meta’s purported unfair acts and practices cause substantial injury to consumers, even if that injury is not monetary. First, Meta’s acts and practices—as alleged—present a significant risk of “concrete” injuries. For instance, body image and eating disorders are real conditions that can be diagnosed by medical professionals

See *Neovi*, 604 F.3d at 1157. Second, knowingly developing tools that encourage youth addiction “cannot fairly be classified as either trivial or speculative,” *Accusearch*, 2007 WL 4356786 at , even if the Court accepted Meta’s implicit premise that addiction is a nontangible, emotional harm. Third, the States’ allegations present a substantial risk of imposing at least a “small harm to a large number of people,” see *Neovi*, 604 F.3d at 1157, given these practices are allegedly targeted at all minor users of Facebook and Instagram. This argument fails. [39] Not Reasonably Avoidable. “In determining whether consumers’ injuries were reasonably avoidable, courts look to whether the consumers had a free and informed choice.” *Neovi*, 604 F.3d at 1158. Meta relies primarily on three cases, two of which concern gambling—*Phillips*, *Ristic*, and *Davis*—and none of which concern adolescents. In *Phillips v. Double Down Interactive LLC*, the plaintiff alleged that she played Double Down Casino’s games through her Facebook account, wagering and losing over \$1,000 worth of chips over the course of two years. 173 F. Supp. 3d 731, 736 (N.D. Ill. 2016). In alleging a claim under the Illinois Consumer Fraud and Deceptive Practices Act’s unfairness prong, she argued that Double Down’s games “are designed to encourage illegal gambling and to exploit the psychological triggers associated with gambling and addiction.” *Id.* at 743. Because the court found that plaintiff “could have picked other forms of entertainment,” it held Double Down’s games could reasonably have been avoided and did not constitute unfair conduct. *Id.* 45 Similarly, in *Ristic v. Machine Zone, Inc.*, the defendant produced a videogame called “Game of War,” which included an in-game feature known as the “Casino.” No. 15-cv-8996, 2016 WL 4987943, at (N.D. Ill. Sept. 19, 2016). “Casino” was a virtual slot machine that required real-dollar wagers (via purchased “Chips”) to receive in-game prizes. *Id.* Plaintiff, who spent over \$500 on “Chips” for “Casino,” alleged that defendant engaged in unfair conduct by violating Illinois’ gambling laws. *Id.* at –2. Here plaintiff pled that his injuries could not reasonably have been avoided given defendant’s “use of psychological triggers that prompt regular consumers, as well as addicts, to continue wagering.” The court disagreed, holding that the plaintiff “made a voluntary choice” *Id.* at

In *Davis v. HSBC Bank Nevada, N.A.*, the plaintiff claimed that defendant's advertisements for a Reward Zone MasterCard were unfair because they lacked disclosure of an annual fee. 691 F.3d 1152, 1158, 1167 (9th Cir. 2012). While not disputed, the advertisement contained the disclaimer that “other restrictions may apply.” *Id.* at 1168–69. This, combined with a “boldface and oversized” notice to review the terms and conditions, gave plaintiff ample notice of possible additional fees and an opportunity to abort the application. *Id.* at 1169. Further, the allegedly unfair annual fee “was also avoidable after the account was opened.” *Id.* All of Meta's cases are distinguishable. At this preliminary stage the Court cannot say that Meta's allegedly unfair business practices are reasonably avoidable as a matter of law. While *Phillips* is comparable insofar as the court held that a product designed to be addictive was reasonably avoidable, the case did not address the unique susceptibility of minors, and whether gambling minors would have such a “free and informed choice” as to unknown risks of addiction. *Neovi*, 604 F.3d at 1158.46 *Ristic* is distinguishable on similar grounds, and *Davis* is largely inapposite given that Meta does not claim it provided notice of addictive risks. This reasoning applies with equal force to a review of individual platform features.⁴⁷ As to Meta's “Daily Limit” feature, Meta argues that the states concede the feature is reasonably avoidable because they allege the “feature was designed so that the user can easily dismiss the notification” indicating they have reached their maximum time spent “and return to using Instagram unimpeded.” (Multistate Compl. ¶ 579.) The States respond that this feature must be considered in the context of Meta's broader scheme to design its platform to encourage compulsive use by minors. While the Court has dismissed some allegations involving compulsive use as to specific features under Section 230, the Court cannot say as a matter of law that a minor still retains that “free and informed choice” with respect to use of the “Daily Limit” feature where the minor has developed—by the platform's own design— a compulsive habit to click through and continue use. In addition, the “multiple accounts” function could serve as an end run around the Daily Limits. [40] Meta also argues that the States’ COPPA allegations fail under the “not reasonably avoidable” prong of Section

5 because a child's misrepresentation as to their age is a deliberate choice. In so arguing, Meta effectively advocates for an exception to its “actual knowledge” of under-13 platform users because those children were dishonest. This argument fails. Under COPPA, the statute requires a website operator with “actual knowledge” it is collecting personal information from a child to comply with the COPPA Rule. 15 U.S.C. § 6502(a)(1). Meta has conceded actual knowledge as alleged (only for the purposes of its 12(b)(6) motion), and so it must comply with the COPPA Rule. The Court will not

2. The Sperry Factors Some jurisdictions rely on the factors set out in *FTC v. Sperry & Hutchinson Co.*, to determine whether a practice is “unfair.” 405 U.S. at 244 n.5, 92 S.Ct. 898

a) Whether Sperry Applies

construe the plain language differently.⁴⁸

Meta asserts there are nineteen states that adopt or otherwise incorporate the FTC Act's approach to determining unfair [41] [42] Not Outweighed by Countervailing Benefits. acts and practices. (Dkt. No. 517 at 39–41.) The States argue With respect to the last element, the States must plead that this oversimplifies variations among state laws which are that the alleged consumer injuries were “not outweighed often less restrictive than the FTC Act, following instead, for by countervailing benefits to consumers or to competition.” example, the “cigarette rule,” also known as the Sperry factors *Neovi*, 604 F.3d at 1158; *Parziale v. HP, Inc.*, 445 F. Supp. test. (Dkt. No. 599 at 35–36.) Given the Court's ruling as to 3d 435, 446

(N.D. Cal. 2020) (dismissing claim where Section 5, this issue is largely academic as even those claims plaintiff “fail[ed] to raise any allegation that his injury is survive. not outweighed by a countervailing benefit to consumers”). Given the national outrage, Meta's arguments here strain Nonetheless, the Court notes that some states permit their credulity. courts to consider decisions interpreting Section 5 of the FTC The States identify allegations of the known range of serious harms resulting from compulsive use of Instagram and Facebook, and specifically the negative “net effect” of platform use on young users. See Multistate Compl. ¶ 119 (“[D]ue to Meta's deliberate design choices, the net result has been that young users are negatively affected by using Instagram compulsively.”); id. ¶ 423 (“[An internal] document concludes the ‘average net effect’ of Meta's Platforms on its users is ‘slightly negative.’ ”); id. ¶ 613 (discussing internal email in which Meta employee states “there is increasing scientific evidence (particularly in the US ...) that the average net effect of [Facebook] on people's wellbeing is slightly negative”). Meta calls these allegations “conclusory.” They are not. The States adequately plead that the alleged harm to Meta's users was not outweighed by any countervailing benefits to its users.⁴⁹ Meta's arguments under this section fail as noted

Act as persuasive authority when defining unfair acts and practices. See, e.g., 815 Ill. Comp. Stat. Ann. 505/2 (“In construing this section consideration shall be given to the interpretations of the [FTC] and the federal courts relating to Section 5(a) of the [FTC] Act.”). A review of Illinois's caselaw, for example, indicates the nuanced interplay between such states’ consumer-protection laws and Section 5 of the FTC Act: In determining whether particular conduct is unfair, the [Illinois Consumer Fraud Act (“ICFA”)] dictates that “consideration shall be given to the interpretations of the Federal Trade Commission (FTC) and the federal courts relating to Section 5(a) of the Federal Trade Commission Act.” 815 ILCS 505/2; see Robinson, [201 Ill.2d 403, 266 Ill.Dec. 879], 775 N.E.2d at 960. The most important of those interpretations are the “Sperry factors,” which the FTC has published and the Supreme Court has cited with approval. Id. See Federal Trade Comm’n v. Sperry & Hutchinson Co., 405 U.S. 233, 92 S.Ct. 898, 31 L.Ed.2d 170 (1972). Illinois recognizes the Sperry test, and so we too will use it as our point of departure. Batson v. Live Nation Ent., Inc., 746 F.3d 827, 830 (7th Cir. 2014); see also Kahn v. Walmart Inc., 107 F.4th 585, 601–02 (7th Cir. 2024) (applying Sperry under ICFA)

Meta argues that statutory provisions like the abovesited from Illinois indicates that ICFA and its counterparts should be interpreted consistent with Section 5 of the FTC Act. Meta is incorrect. The Court does not read these statutes to indicate, as Meta advocates, that these state legislatures seek for federal law to control their consumer protection laws. Rather, they more likely intended to permit courts to apply their state-specific consumerprotection standards and merely consider “unfairness” under Section 5 as persuasive, rather than binding, authority. This interpretation is bolstered when considering that the Batson court then explicitly turned to assess an ICFA claim under the Sperry factors, not Section 5. Moreover, Meta's lead case, Phillips, applied the Sperry factors under ICFA. See Phillips, 173 F. Supp. 3d at 742 (citing Batson, 746 F.3d at 830). Violations of ICFA are alleged in Count 40 of the Multistate Complaint. (See Multistate Compl. ¶¶ 946–48.) The Sperry test is thus at issue.⁵⁰

b) Applying the Sperry Factors [44] Under Sperry, a court considers whether a practice (i) offends public policy, (ii) is immoral, unethical, oppressive, or unscrupulous, or (iii) is substantially injurious to consumers. See, e.g., Colgate v. JUUL Labs, Inc., 402 F. Supp. 3d 728, 758 (N.D. Cal. 2019). In some jurisdictions, like Illinois, “all three of the criteria in Sperry do not need to be satisfied to support a finding of unfairness.” Batson, 746 F.3d at 830 (quoting Robinson v. Toyota Motor Credit Corp., 201 Ill.2d 403,

266 Ill.Dec. 879, 775 N.E.2d 951, 961 (2002)). At least in Illinois, the third factor—whether a practice is substantially injurious—can be assessed under the factors laid out in Section 5 of the FTC Act. See Kahn, 107 F.4th at 602–03. Meta rests belated arguments under Sperry on the same points it made under Section 5's purportedly stricter standard, which the Court holds the States have satisfied. For the same reasons, the Court holds the States have alleged unfair acts and practices under the Sperry factors. Meta otherwise has failed to meet its burden for dismissal because it has not advanced any other Sperry-specific arguments

3. State-Specific Standards Meta separately moves to dismiss the unfair or unconscionable acts or practices claims of California, Colorado, Indiana, Kansas, New Jersey, and Oregon.⁵¹ The Court considers each

a) California [45] [46] Historically, California courts have relied on three different tests for assessing unfair or unconscionable acts or practices. See *Davis v. HSBC Bank Nevada, N.A.*, 691 F.3d 1152, 1169 (9th Cir. 2012). First, prior to *Cel-Tech*, courts applied the Sperry balancing test that weighs “the utility of the defendants conduct against the gravity of the harm to the alleged victim,” known as the South Bay test in California. *Id.* at 1169.⁵² Second, the California Supreme Court in *Cel-Tech* adopted a new test which requires that any finding of unfairness be “tethered” to “some legislatively declared policy or proof of some actual or threatened impact on competition.” *Cel-Tech Commc'ns, Inc. v. Los Angeles Cellular Tel. Co.*, 20 Cal.4th 163, 83 Cal.Rptr.2d 548, 973 P.2d 527, 544 (1999). Third, some courts have “borrowed the three-pronged test set forth in the FTC Act.” *Davis*, 691 F.3d at 1170. That said, the statute is routinely used. Further, this Court has previously explained: The UCL prohibits “any unlawful, unfair or fraudulent business act or practice and unfair, deceptive, untrue or misleading advertising.” Cal. Bus. & Prof. Code § 17200. The UCL creates a cause of action for business practices that are (1) unlawful, (2) unfair, or (3) fraudulent. Each “prong” of the UCL provides a separate and distinct theory of liability. *Lozano v. AT & T Wireless Servs., Inc.*, 504 F.3d 718, 731 (9th Cir. 2007). ... The unlawful prong of the UCL prohibits “anything that can properly be called a business practice and that at the same time is forbidden by law.” *Cel-Tech Commc'ns., Inc. v. L.A. Cellular Telephone Co.*, 20 Cal.4th 163, 180, 83 Cal.Rptr.2d 548, 973 P.2d 527 (1999) (quotation marks and citations omitted). “By proscribing ‘any unlawful’ business practice, the UCL permits injured [parties] to ‘borrow’

violations of other laws and treat them as unlawful competition that is independently actionable.” *In re Adobe Sys., Inc. Privacy Litig.*, 66 F. Supp. 3d 1197, 1225 (N.D. Cal. 2014) (quoting *Cel-Tech Commc'ns.*, 20 Cal.4th at 180, 83 Cal.Rptr.2d 548, 973 P.2d 527). *Doe v. Epic Games, Inc.*, 435 F. Supp. 3d 1024, 1049–50 (N.D. Cal. 2020).⁵³ Here, the California legislature has declared in the California Age-Appropriate Design Code Act (“CAADCA”) that “[b]usinesses that develop and provide online services, products, or features that children are likely to access should consider the best interests of children when designing, developing, and providing that online service, product, or feature.” Cal. Civ. Code § 1798.99.29. The legislature intended for CAADCA to “promote innovation by businesses whose online products, services, or features are likely to be accessed by children by ensuring that those online products, services, or features are designed in a manner that recognizes the distinct needs of children at different age ranges.” 2022 Cal. Legis. Serv. Ch. 320, § 1(c) (A.B. 2273) (West). This policy recognized the “bipartisan agreement at the international level, in both the United States and in the State of California, that more needs to be done to create a safer online space for children to learn, explore, and play.” *Id.* § 1(a)(3). The States acknowledge, and Meta emphasizes, that CAADCA has preliminarily been held as unconstitutional, at least in part. *NetChoice, LLC v. Bonta*, 692 F.Supp.3d 924 (N.D. Cal. 2023) (granting

preliminary injunction enjoining enforcement of the CAADCA and holding CAADCA violated the First Amendment), affirmed in part and vacated in part, 113 F.4th 1101, 1108–09 (9th Cir. 2024).⁵⁴ Courts have prohibited the enforcement of “an unconstitutional statute indirectly by invoking the UCL.” *Daghlian v. Devry Univ., Inc.*, 2007 WL 5625508, at n.40 (C.D. Cal. Dec. 10, 2007). The States argue that “the Legislature’s mere failure to prohibit an activity does not prevent a court from finding it unfair.” *Cel-Tech*, 20 Cal.4th 163, 83 Cal.Rptr.2d 548, 973 P.2d at 542. The Court finds that, even if *Cel-Tech* applied in this action,⁵⁵ California’s UCL claims are sufficiently “tethered” to a “legislatively declared policy.” *Id.*, 83 Cal.Rptr.2d 548, 973 P.2d at 544. As specified above, the California legislature has made clear its goal with respect to children and online

safety. 2022 Cal. Legis. Serv. Ch. 320, § 1(a)(3), (c). While Bonta made some unconstitutional findings, it specifically did not find unconstitutional the legislature’s overarching goal motivating the enactment of CAADCA. See *Bonta*, 692 F. Supp. 3d at 936–37 (“[A]lthough the stated purpose of the Act—protecting children when they are online—clearly is important, NetChoice has shown that it is likely to succeed on the merits of its argument that the provisions of the CAADCA intended to achieve that purpose do not pass constitutional muster.”). Here, California’s UCL claim targets conduct separate and apart from the activity CAADCA sought to regulate. As such, California’s UCL claim does not seek to enforce an unconstitutional statute, see *Daghlian*, 2007 WL 5625508, at n.40, and is fairly characterized as tethered to legislative policy, see *Cel-Tech*, 20 Cal.4th 163, 83 Cal.Rptr.2d 548, 973 P.2d at 544. The motion as to California fails

b) Colorado Colorado alleges that Meta committed a violation of the Colorado Consumer Protection Act (“CCPA”) under subsection 6-1-105(rrr). (Multistate Compl. ¶ 892.) Meta argues that the CCPA does not recognize claims of unfair practices. [47] To prove a violation of the CCPA, the attorney general must first show that “the defendant engaged in an unfair or deceptive trade practice.” *Hall v. Walter*, 969 P.2d 224, 235 (Colo. 1998); *id.* at 236 (distinguishing elements required for claims brought by the attorney general). Section 6-1-105 of the CCPA is titled “Unfair or deceptive trade practices.” Colo. Rev. Stat. Ann. § 6-1-105. Subsection 6-1-105(1) enumerates dozens of means by which a “person engages in a deceptive trade practice.” *Id.* § 6-1-105(1) (emphasis supplied). That subsection lists as a “deceptive trade practice” when a person “[e]ither knowingly or recklessly engages in any unfair, unconscionable, deceptive, deliberately misleading, false, or fraudulent act or practice.” *Id.* § 6-1-105(1)(rrr) (emphasis supplied).⁵⁶ Subsection 6-1-105(3), by contrast, clarifies that the “deceptive trade practices listed in this section are in addition to and do not limit the types of unfair trade practices actionable at common law or under other statutes of this state.” *Id.* § 6-1-105(3) (emphasis supplied). One court has written that the “implication of this language” in subsection

6-1-105(3) “is that the foregoing provisions proscribe only deceptive conduct and that nondeceptive unfair trade practices are actionable only if brought under other statutory or common law causes of action such as the Colorado Antitrust Act.” *In re HIV Antitrust Litig.*, No. 19-cv-02573, 2023 WL 3006572, at (N.D. Cal. Apr. 18, 2023)

allege Meta developed, marketed, and distributed platform features it knew would cause or exacerbate harms to children without any warning to the children or their parents. Meta provides no standard by which to evaluate these allegations

Courts confronted with interpreting subsection 6-1-105(rrr) have declined to adopt a construction of the CCPA “that would sweep in anticompetitive conduct.” *In re HIV Antitrust Litig.*, 2023 WL 3006572, at ; see also *Sheet Metal Workers Loc. 441 Health & Welfare Plan v. GlaxoSmithKline, PLC*, 737 F. Supp. 2d 380, 408 (E.D. Pa. 2010) (noting “the absence of any case from Colorado allowing an unfair trade practice claim to proceed”); *In re New Motor Vehicles Canadian Exp. Antitrust Litig.*, 350 F. Supp. 2d 160, 180 n.28 (D. Me. 2004) (“Although the word ‘unfair’ appears in these decisions, I have found no Colorado case where the court applied the term substantively to broaden the CCPA’s reach to unfair, in addition to deceptive, practices.”)

Third, Meta’s proposed limitation of the CCPA cuts too broadly. The Court is not persuaded that the Colorado Supreme Court would read the CCPA to exclude all claims of unfair or unconscionable acts or practices, especially in light of its language in *Showpiece*. Moreover, Meta’s construction would effectively strike from the CCPA its language that covered conduct includes “knowingly or recklessly engag[ing] in any unfair, [or] unconscionable ... act or practice,” which the legislature added to the CCPA on May 23, 2019. See Colo. Rev. Stat. Ann. § 6-1-105(1)

As the Colorado Supreme Court has recognized, (i) “[t]he CCPA does not list all the industries to which it applies, nor does it specify all the types of transactions it covers,” (ii) the list of “deceptive or unfair practices” “in section 6-1-105 is not exhaustive,” and (iii) limiting “the only practices covered [to] those specifically listed in the act” would “severely hinder[] the CCPA’s broad remedial power.” *Showpiece Homes Corp. v. Assurance Co. of Am.*, 38 P.3d 47, 54 (Colo. 2001). It then emphasized that “[i]n enacting the statute, the General Assembly could not have possibly enumerated all, or even most, of the practices that the CCPA was intended to cover,” *id.*, and relied on the language in *Sperry* that “[i]t is impossible to frame definitions which embrace all unfair practices,” *id.* (quoting *Sperry*, 405 U.S. at 240, 92 S.Ct. 898). Thus, Meta’s motion to dismiss Colorado’s CCPA claims fails on three grounds. First, none of Meta’s cases concern an AG’s oversight of a business’s practices. Second, even if the Court were to accept Meta’s construction of the CCPA and strictly follow the distinction proposed in *In re HIV Antitrust Litig.* outside of the antitrust context, Meta does not explain why the States’ allegations fail to constitute a “deceptive unfair” or a “deceptive unconscionable” act or practice under subsection 6-1-105(1)(rrr). The States

under subsection 6-1-105(1)(rrr).⁵⁷ The Court cannot assume Colorado’s theory fails

(rrr).⁵⁸ The cases holding to the contrary are focused on anticompetitive conduct which, as explained in *In re HIV Antitrust Litig.*, are covered by other sources like the Colorado Antitrust Act. See 2023 WL 3006572, at . Meta has not sustained its burden as to warrant dismissal of Colorado’s claims of unfair and unconscionable acts or practices under the CCPA

c) Indiana Indiana alleges that Meta “has engaged in unfair, abusive, and/or deceptive acts, omissions, and/or practices” in violation of Ind. Code Ann. § 24-5-0.5-3(a), (b)(1), and (b)(2). (Multistate Compl. ¶¶ 967–69.) Meta argues that Indiana does not permit standalone unfairness claims. The Court disagrees. [50] Indiana’s Deceptive Consumer Sales Act (“DCSA”) “is a remedial statute and ‘shall be liberally construed and applied to promote its purposes and policies’ of protecting consumers from deceptive or unconscionable sales practices.” *Kesling v. Hubler Nissan, Inc.*, 997 N.E.2d 327, 332 (Ind. 2013) (quoting Ind. Code Ann. § 24-5-0.5-1). Under the DCSA, a “supplier may not commit an unfair, abusive, or deceptive act, omission, or practice in connection with a consumer transaction.” Ind. Code Ann. §

24-5-0.5-3.59 The DCSA “does not define ‘unfair,’ ‘abusive,’ or ‘deceptive.’ ” *Crum v. SN Servicing Corp.*, 2021 WL 3514153, at (S.D. Ind. Aug

10, 2021). “Indiana courts tend to conflate the three words.” *Id*

misstatements, or concealment of facts.” *Stovall*, 62 P.3d at 659

Nonetheless, Indiana courts have recognized claims of unfairness. See, e.g., *Gasbi*, 120 N.E.3d at 618 (holding allegations that defendant “charged an unfair consumer fee and did not state its intention as part of the bargaining process” fell “generally within the realm of the” DCSA); *Bank v. Huizar*, 178 N.E.3d 326, 338 (Ind. Ct. App. 2021) (allegations that defendant’s “agents’ refusal to leave the residence after being asked and locking themselves in the car until the keys were provided also constitute unfair and abusive acts” sufficed for standalone DCSA claim)

Meta provides no authority explaining what qualifies as “deceptive bargaining conduct.” As set forth above, the States’ complaint does present actionable allegations of deceptive conduct which are sufficient to state a claim under the KCPA

Contrary to Meta’s assertion, Indiana courts have recognized claims of unfairness, see *Gasbi*, 120 N.E.3d at 618, including standalone claims of unfairness, see *Huizar*, 178 N.E.3d at 338.60 Indiana’s claim under the unfairness prong survives

d) Kansas Kansas alleges that Meta has engaged in unconscionable acts and practices in violation of of Kan. Stat. Ann. § 50-627. (Multistate Compl. ¶ 980.) Meta asserts that Kansas’s claim fails because it lacks allegations of “deceptive bargaining conduct.”

e) New Jersey New Jersey alleges that Meta has committed “unconscionable or abusive commercial practices in violation of” the New Jersey Consumer Fraud Act (“CFA”). (Multistate Compl. ¶ 1048.) Meta argues that claims of unconscionability in New Jersey are required to be deceptive and so fail for the same reasons as the deceptive acts and practices claims discussed under Kansas law. See *Kugler v. Romain*, 58 N.J. 522, 279 A.2d 640, 652 (1971) (“[I]n consumer goods transactions ... unconscionability must be equated with the concepts of deception, fraud, false pretense, misrepresentation, concealment and the like.”); *Pullman v. Alpha Media Pub., Inc.*, 2013 WL 1286144, at n.3 (S.D.N.Y. Mar. 28, 2013) (“Plaintiff’s allegations of an ‘unconscionable business practice’ fail for the same reason” as her deceptiveness claims.), *aff’d*, 624 F. App’x 774 (2d Cir

The Kansas Consumer Protection Act (“KCPA”) prohibits a supplier from engaging in any “deceptive act or practice” or “unconscionable act or practice” in connection with a consumer transaction. Kan. Stat. Ann. §§ 50-626, 50-627. The KCPA “shall be construed liberally to promote,” among other policies, the protection “of consumers from suppliers who commit deceptive and unconscionable practices.” *Id.* § 50-623. “Unconscionability is not defined in the KCPA,” but the statute sets forth a non-exhaustive set of example unconscionable acts in Section 50-627(b). *State ex rel. Stovall v. DVM Enterprises, Inc.*, 275 Kan 2015).62

243, 62 P.3d 653, 657 (2003).61 The Supreme Court of Kansas has explained that “the State need[s] to prove some element of deceptive bargaining conduct and unequal bargaining power to prove unconscionability” and that “there is no claim under the KCPA without evidence of any deceptive or oppressive practices, overreaching, intentional

Oregon alleges that Meta has “employed unconscionable tactics in violation of” Oregon's Unlawful Trade Practices Act (“UTPA”), Or. Rev. Stat. Ann. § 646.607(1). (Multistate Compl. ¶ 1107.) Meta argues that this claim fails because “unconscionable tactics” have been interpreted to require the

Because Meta's only basis for dismissing New Jersey's unconscionable acts and practices claim is for a failure to allege deception, and the Court has held that the States’ deceptive acts and practices claims survive, New Jersey's claims of unconscionability survive

f) Oregon

offending business to have tricked customers to enter into a transaction

The UTPA prohibits “any unconscionable tactic in connection with selling, renting or disposing of real estate, goods or services, or collecting or enforcing an obligation.” Or. Rev. Stat. Ann. § 646.607. The UTPA provides a nonexhaustive set of four forms of unconscionable tactics, which includes when a person (a) “[k]nowingly takes advantage of a customer's physical infirmity, ignorance, illiteracy or inability to understand the language of the agreement;” (b) “[k]nowingly permits a customer to enter into a transaction from which the customer will derive no material benefit;” (c) “[p]ermits a customer to enter into a transaction with knowledge that there is no reasonable probability of payment of the attendant financial obligation in full by the customer when due;” or (d) “[k]nowingly takes advantage of a customer who is a disabled veteran, a disabled servicemember or a servicemember in active service, or the spouse of a disabled veteran, disabled servicemember or servicemember in active service.” Id. § 646.605(9). [52] The Oregon Supreme Court has relied on “the commonlaw doctrine of unconscionability” to define the term “unconscionable tactics” and elaborate on the sort of relationship it entails between a plaintiff and defendant. *Gordon v. Rosenblum*, 361 Or. 352, 393 P.3d 1122, 1128 (2017). “Although today the doctrine appears most often in contract law, historically the doctrine has been applied in many areas of law where courts sought to avoid what they perceived as unfair outcomes.” Id. Consistent with that flexible application, it “has followed that pattern and has applied the doctrine in a variety of contexts.” Id. [64] In particular, the court wrote that, with respect to the last example of unconscionable tactics in section 646.605(9), “[t]he notable absence of a transaction or agreement in that example suggests that a transaction or agreement is not a required element of ‘unconscionable tactics.’ ” Id. at 1130. [65]

advantage of a customer's physical infirmity, ignorance, illiteracy or inability to understand the language of [an] agreement.” Or. Rev. Stat. Ann. § 646.605(9)(a). As discussed repeatedly in this order, the States allege Meta developed, marketed, and distributed platform features it knew would cause or exacerbate harms to children and specifically preyed on children's unique susceptibility to addictive features. The States plausibly allege “unconscionable tactics” under Oregon law. *** Meta's motion to dismiss the States’ unfair and/or unconscionable acts and practices claims is Denied as to the merits of those claims. Plaintiffs’ have presented sufficient allegations to withstand Meta's motion to dismiss under Section 5 of the FTC Act, the Sperry factors, and the various state-specific considerations Meta has presented. C. Statutory Scope of Consumer Protection Claims Meta seeks dismissal of the States’ and personal injury plaintiffs’ consumer-protection claims for lack of a connection to commerce under myriad state's statutes. Meta organizes states into three buckets. First, five states require a connection with a “consumer transaction” (Indiana, Kansas, Ohio, Utah, and Virginia) and Maryland with “consumer goods or services.” Second, nineteen states require claims to those in the conduct of any “trade or commerce”

(namely, Alabama, Connecticut, Georgia, Hawai‘i, Idaho, Illinois, Kentucky, Louisiana, Maine, Massachusetts, Michigan, Missouri, Nebraska, Pennsylvania, Rhode Island, South Carolina, Tennessee, Texas, and Vermont). Third, three states limit private causes of action to “consumers” (Alabama, Texas, and Vermont). The Court considers each set

1. “Consumer Transaction” or “Consumer Goods or Services”

[54] Gordon makes clear that “unconscionable [55] Meta claims the laws of Indiana, Kansas, Ohio, Utah, tactics” is a flexible concept that can encompass theories of and Virginia require a connection to a “consumer transaction” unconscionability beyond the examples provided in section to state a consumer protection claims and Maryland similarly 646.605(9). Meta’s argument fails for relying on too narrow requires a sale of consumer goods or services.⁶⁶ a construction of the term. Even so, the States’ theory of unconscionability is similar to the conduct described in section 646.605(9)(a)—that Meta has “[k]nowingly take[n]

The plain language of the relevant statutes in Indiana, Kansas, Ohio, Utah, and Virginia limit claims to those where practices occur “in connection with a consumer transaction.” See: • Ind. Code Ann. § 24-5-0.5-3(a) (“A supplier may not commit an unfair, abusive, or deceptive act, omission, or practice in connection with a consumer transaction.”); • Kan. Stat. Ann. § 50-626(a) (“No supplier shall engage in any deceptive act or practice in connection with a consumer transaction.”); • Ohio Rev. Code Ann. § 1345.02(A) (“No supplier shall commit an unfair or deceptive act or practice in connection with a consumer transaction.”)

or an intangible”); Williams v. Edwards, 129 Ohio App.3d 116, 717 N.E.2d 368, 373 (1998) (“[T]he fact that no money changed hands has no bearing on the applicability of the [Ohio Consumer Sales Practices Act]”).⁶⁷ • In Utah: it includes the “disposition of goods” and “services, ... both tangible and intangible.” Utah Code Ann. § 13-11-3(2)(a) (“ ‘Consumer transaction’ means a sale, lease, assignment, award by chance, or other written or oral transfer or disposition of goods, services, or other property, both tangible and intangible”)

• Va. Code Ann. § 59.1-200(A) (prohibiting “fraudulent acts or practices committed by a supplier in connection with a consumer transaction”)

• In Virginia: it includes the “advertisement, sale, lease, license or offering for sale, lease or license, of goods or services to be used primarily for personal, family or household purposes.” Va. Code Ann. § 59.1-198. Maryland’s Consumer Protection Act (“MCPA”) does not rely on the term “consumer transaction” but includes, among other interactions, “[t]he sale, lease, rental, loan, or bailment of any consumer goods, consumer realty, or consumer services.” Md. Code Ann., Com. Law § 13-303(1) (emphasis supplied)

Next, “consumer transaction” is defined in unique but similar ways. Thus:

Each state requires a liberal construction of its consumer protection law to effectuate its remedial purpose. See:

• In Indiana: it includes the “disposition of ... a service, or an intangible.” Ind. Code Ann. § 24-5-0.5-2(a)(1) (“ ‘Consumer transaction’ means a sale, lease, assignment, award by chance, or other disposition of an item of personal property, real property, a service, or an intangible”)

- Indiana: Ind. Code Ann. § 24-5-0.5-1 (requiring the Act to be “liberally construed” to “modernize the law governing deceptive and unconscionable consumer sales practices” and to “protect consumers”)

- Utah Code Ann. § 13-11-4(1) (“A deceptive act or practice by a supplier in connection with a consumer transaction violates this chapter”)

- In Kansas: it includes any “disposition for value of property or services,” Kan. Stat. Ann. § 50-624(c), for which Kansas courts require the plaintiff to “allege facts one could characterize as her exchanging anything of value with the defendants to secure their services.” *Berry v. Nat’l Med. Servs., Inc.*, 41 Kan.App.2d 612, 205 P.3d 745, 752 (2009) (emphasis supplied), *aff’d*, 292 Kan. 917, 257 P.3d 287 (2011). • In Ohio: it includes any “transfer of ... an intangible,” regardless of whether money changes hands. See Ohio Rev. Code Ann. § 1345.01(A) (“ ‘Consumer transaction’ means a sale, lease, assignment, award by chance, or other transfer of an item of goods, a service, a franchise,

- Kansas: *Moore v. Bird Eng’g Co., P.A.*, 273 Kan. 2, 41 P.3d 755, 760 (2002) (The Act must “be construed liberally to streamline the law of consumer transactions and to protect consumers from unscrupulous suppliers.” (citing Kan. Stat. Ann. § 50-623)); • Maryland: *Washington Home Remodelers, Inc. v. State, Off. of Att’y Gen., Consumer Prot. Div.*, 426 Md. 613, 45 A.3d 208, 219 (2012) (The Act “constitutes remedial legislation that is intended to be construed liberally in order to promote its purpose of providing a modicum of protection for the State’s consumers.”); • Ohio: *Anderson v. Barclay’s Cap. Real Est., Inc.*, 136 Ohio St.3d 31, 989 N.E.2d 997, 1000 (2013) (“The [Act] is remedial in nature, having been designed to compensate

for incomplete consumer remedies available at common law,” and courts must “liberally construe the statute in favor of the consumer.”); • Utah: *Fell v. Alco Cap. Grp. LLC*, 538 P.3d 1249, 1256 (Utah Ct. App. 2023) (“[T]he [Act] ‘shall be construed liberally to promote,’ among other things, the protection of ‘consumers from suppliers who commit deceptive and unconscionable sales practices.’ ” (quoting Utah Code Ann. § 13-11-2)); • Virginia: *Ballagh v. Fauber Enterprises, Inc.*, 290 Va. 120, 773 S.E.2d 366, 368 (2015) (The Act “shall be applied as remedial legislation to promote fair and ethical standards of dealing between suppliers and the consuming public” and is construed liberally in favor of the injured party (quoting Va. Code Ann. § 59.1-197)). The courts of at least two states—in Indiana and Utah— have decided and currently agree that the provision of social media platforms to users without monetary consideration constitutes a “consumer transaction” under each state’s consumer-protection law.⁶⁸ The Court of Appeals of Indiana reversed a trial court which had held that downloading the free TikTok app is not a consumer transaction, because it does not involve an exchange for money. *State v. TikTok Inc.*, No. 23A-PL-3110, 245 N.E.3d 681, 692-93 (Ind. Ct. App. Sept. 30, 2024).⁶⁹ As noted above, the Indiana Deceptive Consumer Sales Act (“DCSA”) defines a “consumer transaction” to mean “a sale, lease, assignment, award by chance, or other disposition of an item of personal property, real property, a service, or an intangible” Ind. Code Ann. § 24-5-0.5-2(a)(1). The appellate court wrote: We agree with the State that DCSA’s statutory definition of a consumer transaction does not include the words “exchange for money.” There is no question that any of the described dispositions in the statutory definition can be, and we presume most often are, effectuated by way of an exchange for money, but the statutory language does not require such an exchange. [T]he plain and ordinary definition of the word “sale,” which is not otherwise defined in the DCSA, includes any consideration to effectuate the transfer of property, not only an exchange for money

It is undisputed that TikTok exchanges access to its app's content library for end-user personal data. That is the bargain between TikTok and its end-users. And, under the plain and ordinary use of the word, that is a “sale” of access to TikTok's content library for the end-user's personal data. TikTok's business model is therefore a consumer transaction under the DCSA. Further, TikTok's argument that we limit consumer transactions to exchanges for money not only disregards the plain and ordinary meaning of the word “sale” but also narrows the scope of the DCSA beyond its plain terms, which is expressly contrary to the DCSA's requirement that we “liberally” interpret its provisions. *State v. TikTok Inc.*, 245 N.E.3d at 693-94. In *Utah Div. of Consumer Protection v. Meta Platforms, Inc.*, the Third Judicial District Court of Utah held, under a set of facts similar to those before this Court, that Utah's Division of Consumer Protection (the “Division”) “allege[d] a sale and/or a transfer sufficient to support a consumer transaction under the” Utah Consumer Sales Practices Act. No. 230908060, at 13 (Utah Dist. Ct. July 25, 2024).⁷⁰ The court explained: The Division alleges facts that could support a conclusion the transaction involves a sale or transfer, including that Meta does not provide its products for free, that its business model allows it to turn attention into money, and that when users spend time on Meta's social media platforms, Meta harvests their personal data (including interests, religion, beliefs, and what they like to watch or buy). The Complaint alleges that Utah consumers' personal data has value to the Defendants as Meta has built an entire business model on enticing users to give up their personal data and their time as consideration for their services on the Defendants' platforms. *Id.* at 13–14. Here, Meta provides access to its platform in exchange for its users' personal data and time spent viewing, among other content, advertisements which generate profit for Meta. This is an exchange for valuable consideration. A social media company cannot exempt itself from consumer-protection law because its consumers exchange their personal data and time for a product or service rather than cash for

goods.⁷¹ These states' consumer-protection statutes are not so restrictive, and Meta has failed to persuade otherwise

2018) (emphasis supplied); *Indian Hills Civic Ass'n v. Indian Lake Prop. Owners Ass'n, Inc.*, 637 S.W.3d 622, 632 (Mo. Ct. App. 2021) (“ ‘Commerce’ under the MMPA is not so wide

as to cover every economic interaction contemplable”).⁷⁸ Some states explain that a “violation may not be alleged for activities that are incidental to an entity's primary trade or commerce.” *McCann Real Equities Series XXII, LLC v. David McDermott Chevrolet, Inc.*, 93 Conn.App. 486, 890 A.2d 140, 164 (2006). For instance, “transactions resulting not from ‘the conduct of any trade or business’ but rather from ‘private negotiations between two individual parties 2. “Trade or Commerce” who have countervailing rights and liabilities established under common law principles of contract, tort and property [57] Meta argues that nineteen states⁷² limit claims to those law’ remain beyond the purview of” these statutes. Hoehl involving “trade or commerce,” which Meta contends does *Fam. Found.*, 2020 WL 10790035, at (citation omitted); not exist here.⁷³ see also *Binette*, 688 A.2d at 907 (contrasting transactions made “in a business context” with those “done on a [58] [59] With some minor variation in the language of private, nonprofessional basis”). Whether the defendant “was conduct covered, the Court agrees that each state prohibits engaged in the conduct of trade or commerce is a factunfair or deceptive acts in “the conduct of any trade or intensive query that requires the courts to consider the totality commerce.” Most states define “trade or commerce,” again of the circumstances.” *Fayne v. Vincent*, 301 S.W.3d 162, 174 with little material variation, to “mean[] the advertising, the (Tenn. 2009). This case is far from those. sale or rent or lease, the offering for sale or rent or lease, or the distribution of any services

and any property, tangible or intangible, real, personal or mixed, and any other article, whether language like “trade or commerce” can encompass commodity, or thing of value in this state.” Conn. Gen. Stat. free use of a social media platform. In *State v. Meta Platforms*, The Court agrees with the analysis of both cases discussed and holds that the States and personal injury plaintiffs have adequately alleged consumer-protection claims “in connection with a consumer transaction” under Indiana, Kansas, Ohio, and Virginia law, and likewise for Maryland

Ann. § 42-110a(4).⁷⁵

Inc., the Vermont Superior Court held that “Instagram is certainly engaging in commerce when it provides Instagram [60] [61] [62] [63] “Trade and commerce,” to Vermonters,” because “[u]sers of Instagram allegedly sign a contract agreeing to give Instagram access to personal as these definitions make clear, is in general “broadly information for advertising purposes in exchange for using defined,” consistent with the remedial character of these the site.” No. 23-cv-4453, at 15, 2024 WL 3741424 states’ consumer-protection statutes and typical requirement (Vt. Sup. Ct. July 28, 2024). “That sufficiently pleads a they be “liberally construed in favor of those whom the contractual business relationship between Instagram and each legislature intended to benefit.” *Fink v. Golenbock*, 238 Conn. user.” Id. The court also noted that “Meta’s argument that there 183, 680 A.2d 1243, 1259 (1996). The States are uniform must be money changing hands is unsupported,” because in this view.⁷⁶ The states present various formulations “[t]here is no requirement of a specific purchase and sale in” of how to determine whether an activity takes place in cases brought by the state. Id. at 16. “trade or commerce,” focusing on the exchange of valuable consideration and the business purpose behind the activity.⁷⁷

The Court agrees with the Vermont court’s approach and holds that the States and personal injury plaintiffs have adequately [64] [65] [66] Variations on this theme do not alleged unfair or deceptive acts or practices “in the conduct impact the final analysis. Yes, some states do emphasize of any trade or commerce” under the laws of the challenged that their consumer-protection laws “do[] not prohibit any states. This alleged exchange of users’ use of Meta’s platforms deceptive acts or unfair practices that are in some nebulous for their personal data is Meta’s “primary trade or commerce,” way connected to trade or commerce.” *G & G Closed Cir.* at least insofar as its Facebook and Instagram platforms are *Events, LLC v. Castillo*, 327 F. Supp. 3d 1119, 1133 (N.D. Ill

concerned. See *McCann Real Equities Series XXII, LLC*, 890 A.2d at 164. At a minimum, Meta cannot credibly argue that providing its platform to users does not qualify as a “distribution of [a] service.” See, e.g., 815 Ill. Comp. Stat. Ann. 505/1(f). Thus, the alleged unfair and deceptive acts or practices occur “in the conduct of” Meta’s “trade or commerce,” regardless of whether Meta’s users pay for use of Facebook or Instagram.⁷⁹ Meta has otherwise failed to provide authority to support its burden to show otherwise at this stage

3. “Consumer” Finally, Meta moves to dismiss on the grounds that the unfair and/or deceptive acts and practices claims brought by personal injury plaintiffs under the laws of Alabama, Texas, and Vermont all fail because each state limits such private causes of action to “consumers.” Plaintiffs do not dispute the statutory references.⁸⁰ Each state defines “consumer” in unique but similar ways. See Ala. Code § 8-19-3(4) (defining “consumer” as “[a]ny natural person who buys goods or services for personal, family, or household use”); Tex. Bus. & Com. Code Ann. § 17.45(4) (“ ‘Consumer’ means an individual ... who seeks or acquires by purchase or lease, any goods or services ...”); Vt. Stat. Ann. tit. 9, § 2451a (1) (“

‘Consumer’ means any person who purchases, leases, contracts for, or otherwise agrees to pay consideration for goods or services ... for the person's use or benefit”). Thus, the question is whether the relevant personal injury plaintiffs are alleged to have “bought,” “purchased,” or “paid consideration” for use of either Facebook or Instagram. Meta simply advances its say-so interpretation that each of these terms requires the transfer of money. In opposition, plaintiffs note that they “‘buy’ access to Defendants’ platforms through the provision of valuable personal data and attention.” (Dkt. No. 600 at 21, 28.) For the first time on reply, Meta points to a line of caselaw from California, not Alabama, Texas, or Vermont, holding that private-plaintiff users of “free” social media applications were not “consumers” under a different statute, California’s Consumer Legal Remedies Act (“CLRA”).⁸¹

The Court lacks a substantive response. The terms “bought,” “purchased,” or “paid consideration” often connote the transfer of money. See, e.g., Pay, Black’s Law Dictionary (12th ed. 2024) (“1. To give money for a good or service that one buys; to make satisfaction” (emphasis supplied)); Purchase, Black’s Law Dictionary (12th ed. 2024) (“1. The act or an instance of buying. 2. The acquisition of an interest in real or personal property by sale, ... or any other voluntary transaction.”); Buy, Black’s Law Dictionary (12th ed. 2024) (“buy See PURCHASE (1).”). Further, “Consumer,” as defined by statute, is potentially more restrictive than either “consumer transaction” or “trade or commerce.” Given the changing economy and no briefing on how the Supreme Courts of Alabama, Texas, and Vermont might approach this question, the Court declines to rule on the issue at this stage with insufficiently tailored argument. *** Meta’s motion to dismiss the States’ and personal injury plaintiffs’ unfair and deceptive acts and practices claims from nineteen states due to the scope of statutory language is Denied. D. Restitution [67] Meta moves to dismiss or otherwise limit the scope of the States’ claims for restitution under the consumer protection laws of twenty-one states.⁸² Meta argues that the particular States have not alleged a loss of money or property restorable to their consumers. The States disagree and, at any rate, argue the recovery available under a theory of restitution is not necessarily so limited. The availability of restitution as a remedy may be considered on a motion to dismiss. See *Sonner v. Premier Nutrition Corp.*, 971 F.3d 834, 844 (9th Cir. 2020) (affirming district court’s dismissal of “claims for equitable restitution under the UCL and CLRA”). “Employed to denote liability based on unjust enrichment, the word ‘restitution’ is a term of art that has frequently proved confusing.” Restatement (Third) of Restitution and Unjust Enrichment § 1, cmt. c (Am. L. Ins. 2011). “On the one hand, there are significant instances of liability based on unjust enrichment that do not involve the restoration of

anything the claimant previously possessed,” notably, cases involving disgorgement of profits. *Id.* “On the other hand, there are numerous situations in which a claimant’s undoubted right to the restitution (or restoration) of something does not depend on the unjust enrichment of the defendant.” *Id.* Finally, “[c]ategories are further complicated by a set of cases which do involve a literal restitution, and which might logically be explained as a means of avoiding or rectifying the defendant’s unjust enrichment, but which, by convention, are not so classified.” *Id.* A brief survey of the at-issue states’ laws reveals similar variation in how states distinguish or conflate concepts like “restitution,” “disgorgement,” and “unjust enrichment.” Some states’ consumer-protection statutes explicitly permit recovery of restitution as more narrowly construed (i.e., restoration of loss) and disgorgement or unjust enrichment. See *Ariz. Rev. Stat. Ann. § 44-1528(A)(3)* (permitting the court to “[r]equire that any profits, gain, gross receipts or other benefit obtained by means of any practice in this article declared to be unlawful be disgorged and paid to the state for deposit in the consumer remediation subaccount of the consumer restitution and remediation revolving fund”); *Colo. Rev. Stat. Ann. § 6-1-110* (“The court may make such orders or judgments as may

be necessary to prevent the use or employment by the person of any such deceptive trade practice or that may be necessary to completely compensate or restore to the original position of any person injured by means of any such practice or to prevent any unjust enrichment by any person through the use or employment of any deceptive trade practice.”). [68] Other states appear to embrace the broader definition of restitution as encompassing disgorgement of ill-gotten gains. See, e.g., *State v. LG Elecs., Inc.*, 185 Wash.App. 123, 340 P.3d 915, 924 n.55 (2014) (“Whereas ‘[r]estitution measures the remedy by the defendant’s gain and seeks to force disgorgement of that gain,’ damages ‘measures the remedy by the plaintiff’s loss and seeks to provide compensation for that loss.’ ” (citation omitted) (alteration in original)), *aff’d*, 186 Wash.2d 1, 375 P.3d 636 (2016).⁸³ Some provide more tailored language which may reflect a narrower conception of restitution—that the court “may make such additional orders or judgments as may be necessary to restore to any person in interest any money

or property” acquired by prohibited means. Neb. Rev. Stat. Ann. § 59-1608(2) (emphasis supplied); see also 6 R.I. Gen. Laws Ann. § 6-13.1-5(c). These also provide that “[t]he court may order such additional equitable” or other “relief as it deems necessary to protect the public from further violations.” Neb. Rev. Stat. Ann. § 87-303(a); see also 6 R.I. Gen. Laws Ann. § 6-13.1-5(a) (“[T]he attorney general may bring an action in the name of the state against the person to restrain by temporary or permanent injunction the use of the method, act, or practice, upon the giving of appropriate notice to that person and to seek any other relief that may be appropriate.” (emphasis added)). At least one state may permit restitution but has been found to exclude disgorgement as an available remedy under its consumer-protection laws. *Brown v. Google LLC*, No. 20CV-03664-LHK, 2021 WL 6064009, at (N.D. Cal. Dec. 22, 2021) (“Plaintiffs may not seek disgorgement as a remedy” for California UCL violations.). However, quantifiable non-pecuniary interests, like a “diminution of the value of ... private and personally identifiable data” may be recoverable as restitution. *Id.* [69] Finally, other states present unique statutory frameworks or other considerations as to their attorney general’s remedial power that do not fit neatly into the categories described above.⁸⁴ Meta’s motion to dismiss asks this Court to limit the restitution available under these states’ laws because “[t]he relevant statutes only permit restitution to ‘restore’ any ‘money or property’ ” acquired by unlawful conduct. (Dkt. No. 517 at 54.) As evidenced by the variations in state law described above, the Court disagrees with the broad brush strokes and will not presume that the restitution recoverable under these states’ consumer-protection statutes’ is so limited. Meta selectively quotes many of these statutes, omitting explicit reference in some statutes to “disgorgement,” “equitable relief,” or other relief “that may be appropriate.” Given these nuances, the Court cannot determine the scope of available “restitution” under these statutes on Meta’s say-so interpretation of the statutory language.⁸⁵ [70] Additionally, even under the narrowest construction of restitution—that restitution only encompasses restoration of consumers’ loss—the States have suggested a plausible

theory of loss to their consumers. As in *Brown v. Google*, quantifiable non-pecuniary interests, like a “diminution of the value of ... private and personally identifiable data,” could, in theory, be recoverable as restitution should it be adequately proven. See 2021 WL 6064009, at . Given that Meta does not dispute the availability of restitution where explicit in statute, the States’ claims for restitution survive regardless of the scope of restitution under any state’s consumer protection law because they have presented a viable theory under the

transaction” are denied (see *supra* Section V.C). The Court has also already addressed Meta’s arguments regarding whether certain plaintiffs are “consumers” under relevant consumer protection

statutes (see *supra* Section V.C.3). Accordingly, the Court Denies the defendants' motion to dismiss the personal injury plaintiffs' consumer-protection claims to the same extent as assessed above with respect to the States and limits the scope in the same manner

narrowest view of restitution.⁸⁶ Meta's motion to dismiss or otherwise limit the states' claims for restitution is Denied. VI. PERSONAL INJURY PLAINTIFFS' CLAIMS Meta, YouTube, Snap, and TikTok seek dismissal of the personal injury plaintiffs' consumer-protection claims, and Meta seeks dismissal of the personal injury plaintiffs' concealment and misrepresentation claims. With respect to plaintiffs' consumer-protection claims against Meta, the Court revisits prior rulings and addresses issues of reliance and ascertainable loss. A. Personal Injury Plaintiffs' Consumer-Protection Claims Against Meta Only 1. Prior Rulings In Count 7 of the personal injury plaintiffs' 2AMC, plaintiffs assert unfair and deceptive acts and practices claims under applicable state law. Prior Rulings. As a threshold issue, the defendants move to dismiss these claims on some of the same grounds already asserted with respect to the States. The Court's reasoning with respect to the States' claims applies to the plaintiffs' consumer-protection claims as well. Thus: (i) allegations based on the design and deployment of certain features are barred by Section 230 (see *supra* Section IV.C.1); (ii) plaintiffs have adequately pled actionable statements by Meta (see *supra* Section V.A.1–3); and (iii) defendants have not shown at this stage that its statements to Congress are protected under Noerr-Pennington (see *supra* Section V.A.4). Further, arguments that the allegations do not concern “trade or commerce” or lack a connection with a “consumer

2. Actual Reliance Meta argues that plaintiffs have failed to allege actual reliance on the misrepresentations and omissions as, at least, twentyone states' consumer protection laws require. Plaintiffs dispute the legal requirement for many states, and argue their allegations are sufficient regardless

a) Disputed State Standards The parties agree that ten states require a showing of actual reliance, namely, Arizona, California, Georgia, Indiana, Iowa, Nevada, Pennsylvania, South Dakota, Texas, and Virginia. See, e.g., *Schellenbach v. GoDaddy.com, LLC*, 321 F.R.D. 613, 624 (D. Ariz. 2017) (“Parties that do not actually rely on a false statement or material omission have no claim under the” Arizona Consumer Fraud Act.). The parties dispute the requirement under the remaining eleven states: Colorado, Maine, Massachusetts, Minnesota, New Jersey, North Carolina, North Dakota, Ohio, Oregon, Rhode Island, and South Carolina law. (See Dkt. No. 517 at 60–61 & n.67; Dkt. No. 600 at 30–31.) With respect to the latter, the issue appears to center on defendants' view that even where a state does not explicitly frame an element in terms of “reliance,” it is effectively required where a litigant must allege a direct causal relationship between an alleged misrepresentation and the plaintiff's harm. The Court disagrees except as to North Carolina. [71] First, at least three of the eleven states (Minnesota, New Jersey, and Oregon) have explicitly rejected this formulation of causation. Second, defendants' motion ignores plaintiffs'

theories of causation, some of which were discussed in the Court's prior order in the context of products liability claims. See *Social Media I*, 702 F. Supp. 3d at 862 (“[A]n analysis of the ‘common facts’ alleged in plaintiffs' MAC is sufficient for plaintiffs to plausibly allege, at this preliminary stage, that defendants' actions proximately caused plaintiffs' injuries.”). As outlined there, these are sufficient causal allegations. Given defendants' broad approach, the Court declines to dismiss plaintiffs' consumer-protection claims on defendants' view of “reliance,” with the exception of North Carolina, and provides an overview of the disputed states' applicable law, highlighting the portions upon which the

decision rests:

Norwegian Cruise Line Ltd., 460 Mass. 500, 952 N.E.2d 908,

Colorado. “[R]eliance does not appear to be an element of a claim under Colorado’s consumer protection statute.” *Hamilton v. TBC Corp.*, 328 F.R.D. 359, 381 (C.D. Cal. 2018). “Reliance often provides a key causal link between a consumer’s injury and a defendant’s deceptive practice.” *Garcia v. Medved Chevrolet, Inc.*, 263 P.3d 92, 98 (Colo. 2011) (en banc) (emphasis supplied)

New Jersey. The New Jersey Consumer Fraud Act “does not require proof of reliance” to state a claim. *Gennari v. Weichert Co. Realtors*, 148 N.J. 582, 691 A.2d 350, 366 (1997); see also *Varacallo v. Massachusetts Mut. Life Ins. Co.*, 332 N.J.Super. 31, 752 A.2d 807, 814 (N.J. App. Div. 2000) (“[C]ommon law fraud requires proof of reliance while consumer fraud requires only proof of a causal nexus between the concealment of the material fact and the loss.”)

[74] Maine. “A claim for negligent or intentional misrepresentation requires proof of detrimental reliance upon a material false statement of fact. Similarly, a claim for a deceptive trade practice requires proof of a material misrepresentation that misleads the consumer regarding choice or conduct in relation to a product.” *GxG Mgmt., LLC v. Young Bros. & Co.*, 457 F. Supp. 2d 47, 50 (D. Me. 2006) (citation omitted). Thus, while these standards may serve “similar” purposes, they are distinct as the court’s assessment of other states’ laws makes clear. Most if not all states require a showing of detrimental reliance for claims of negligent or intentional misrepresentation but do not necessarily so require such a showing for claims of deceptive acts and practices. [75] Massachusetts. “A successful [Massachusetts General Law, Chapter 93A, § 2] action based on deceptive acts or practices does not require proof that a plaintiff relied on the representation” *Aspinall v. Philip Morris Companies, Inc.*, 442 Mass. 381, 813 N.E.2d 476, 486 (2004); see also *id.* at 489 (“[T]he plaintiffs [need not] show that each individual consumer relied on the defendants’ false promise when purchasing Marlboro Lights.”); *Loughlin v. Vi-Jon, LLC*, No. 20-cv-11555, 728 F.Supp.3d 163, 174 (D. Mass. Mar. 29, 2024) (“Plaintiffs need not show proof of actual reliance on a misrepresentation to recover damages under [Chapter] 93A.” (alteration in original) (quoting *Casavant v.*

912 (2011))).⁸⁷ [76] Minnesota. While the consumer must “prove a ‘causal nexus’ between the plaintiff’s injuries and the defendant’s wrongful conduct,” “ ‘[a]llegations of reliance are ... not necessary to state a claim’ ” because “the legislature had eliminated the requirement of pleading and proving ‘traditional common law reliance’ as an element.” *Wiegand v. Walser Auto. Groups, Inc.*, 683 N.W.2d 807, 811 (Minn. 2004) (quoting *Grp. Health Plan, Inc. v. Philip Morris Inc.*, 621 N.W.2d 2, 12 (Minn. 2001)) (alterations in original)

North Dakota. In North Dakota, the plaintiff must allege that “the plaintiff has been or is likely to be injured as a result of the false statement” *N. Bottling Co. v. Henry’s Foods, Inc.*, 474 F. Supp. 3d 1016, 1028 (D.N.D. 2020); see also *In re Pharm. Indus. Average Wholesale Price Litig.*, 252 F.R.D. 83, 98 (D. Mass. 2008) (noting the parties “appear[ed] to agree that” North Dakota’s consumer-protection statute was among the state statutes that “do not require the element of reliance” (citing N.D. Cent. Code Ann. § 51-15-01, et seq.)). [78] Ohio. “Unlike a fraud claim, where a plaintiff must allege harm above and beyond the misrepresentation and reliance thereon, a cause of action accrues under the [Ohio] Consumer Sales Practices Act [(“OCSPA”)] as soon as the allegedly unfair or deceptive transaction occurs.” *Delahunt v. Cytodyne Techs.*, 241 F. Supp. 2d 827, 835 (S.D. Ohio 2003); see also *Cicero v. Am. Satellite, Inc.*,

2011-Ohio-4918, ¶ 9, 2011 WL 4477247 (Ohio 2011) (“[B]ecause appellant had prior knowledge of the allegedly omitted terms and conditions of the offers, he could not have been deceived by the emails, and, therefore, he was not entitled to recovery under the OCSA.”)

[80] Oregon. For Oregon's Unlawful Trade Practices Act, “[w]hat a plaintiff must prove is that (1) the defendant committed an unlawful trade practice; (2) plaintiff suffered an ascertainable loss of money or property; and (3) plaintiff's injury (ascertainable loss) was the result of the unlawful trade practice. In other words, plaintiff must suffer a loss of money or property that was caused by the unlawful trade practice. Whether, to prove the requisite causation, a plaintiff must show reliance on the alleged unlawful trade practice depends on the conduct involved and the loss allegedly caused by it.” *Pearson v. Philip Morris, Inc.*, 358 Or. 88, 361 P.3d 3, 28 (2015); see also *Clark v. Eddie Bauer LLC*, 371 Or. 177, 532 P.3d 880, 889 (2023) (discussing *Pearson*). [81] Rhode Island. “To adequately plead a claim,” a plaintiff must have (1) been “the subject of a deceptive practice or act in connection with the purchase of a service”; and (2) “suffered an ascertainable loss of money or property as a result of the deceptive practice.” *Laccinole v. Assad*, 2016 WL 868511, at (D.R.I. Mar. 7, 2016); see also *In re Pharm. Indus. Average Wholesale Price Litig.*, 252 F.R.D. at 98 (noting the parties “appear[ed] to agree that” Rhode Island's consumer-protection statute was among the state statutes that “do not require the element of reliance” (citing 6 R.I. Gen. Laws Ann. § 6-13.1-1, et seq.)) [82] South Carolina. “To bring a successful SCUTPA claim, ‘the plaintiff must show: (1) the defendant engaged in an unfair or deceptive act in the conduct of trade or commerce; (2) the unfair or deceptive act affected public interest; and (3) the plaintiff suffered monetary or property loss as a result of the defendant's unfair or deceptive act(s).’ ” *Gault v. Thacher*, 367 F. Supp. 3d 469, 485 (D.S.C. 2018) (quoting *Wright v. Craft*, 372 S.C. 1, 640 S.E.2d 486, 498 (S.C. Ct. App. 2006)). [83] North Carolina. North Carolina, by contrast, appears to require allegations of reliance. “[A] claim under section 75–1.1 stemming from an alleged misrepresentation does indeed require a plaintiff to demonstrate reliance on the misrepresentation in order to show the necessary proximate cause.” *In re Hester*, 2015 WL 6125308, at (Bankr. E.D.N.C. Oct. 16, 2015) (quoting *Bumpers v. Cmty. Bank of N. Virginia*, 367 N.C. 81, 747 S.E.2d 220, 226 (2013)). The motion as to these states, other than North Carolina, is Denied

b) Evaluating Actual Reliance [84] Where reliance is required, the Court evaluates the relevant allegations, namely for twelve states: Arizona, California, Georgia, Indiana, Iowa, Nevada, North Carolina, Pennsylvania, South Dakota, Texas, and Virginia. [85] [86] [87] As discussed supra Section IV.B, Rule 9(b) requires claims that “sound in fraud” be pled with particularity. *Swartz v. KPMG LLP*, 476 F.3d 756, 764 (9th Cir. 2007).⁸⁸ In general, the parties agree that to satisfy Rule 9(b), a plaintiffs must allege that they “read and relied on a specific misrepresentation.” *Haskins v. Symantec Corp.*, 654 F. App'x 338, 339 (9th Cir. 2016). “As for showing reliance on an alleged omission, the standard is more relaxed” *In re ZF-TRW Airbag Control Units Prod. Liab. Litig.*, 601 F. Supp. 3d 625, 767 (C.D. Cal. 2022).⁸⁹ “Whether, to prove the requisite causation, a plaintiff must show reliance on the alleged unlawful trade practice depends on the conduct involved and the loss allegedly caused by it.” *Pearson v. Philip Morris, Inc.*, 358 Or. 88, 361 P.3d 3, 28 (2015).⁹⁰ [88] In short, defendants seek individualized allegations of reliance.⁹¹ Plaintiffs respond that because plaintiffs’ allegations are rooted in the defendants’ silence, i.e., defendants’ material omissions and failures to disclose, individualized allegations of reliance are not necessary. Plaintiffs do target defendants’ affirmative statements. (See Dkt. No. 600, Plfs.’ Opp. at 7 (“Defendants’ misleading statements about their platforms’ supposed safety were contrary to concrete information in their possession about harms caused by using their platforms, and were materially misleading in the context of those omissions.”).)⁹² While plaintiffs can proceed on multiple grounds,

where they do so, the elements of each claim must still be satisfied. Here, plaintiffs allege both affirmative misrepresentation and independent actionable omissions on their own. Cf. *Pearson v. Philip Morris, Inc.*, 361 P.3d at 28. Accordingly, plaintiffs' claims of deceptive acts and practices that are based on defendants' affirmative statements fail under the laws of Arizona, California, Georgia, Indiana, Iowa, Nevada, North Carolina, Pennsylvania, South Dakota, Texas, and Virginia

However, as to claims based on Meta's omissions, plaintiffs have adequately alleged actual reliance under any state's law. As explained *supra* Section V.A.3 with respect to the States' claims, the information allegedly suppressed by Meta is plausibly material. Moreover, it is plausible that a plaintiff would have become aware of a theoretical disclosure of safety risks in using defendants' platforms, which the plaintiffs allegedly use on a consistent basis. That dozens of plaintiffs allege they continue to use Meta's services up to the present after the Wall Street Journal published in 2021, is ultimately of no significant import. For pleading purposes, continued use of Meta's services does not exclude the possibility that plaintiffs changed their behavior. Also, disclosure by the Wall Street Journal—whose teen and under-13 readership across the United States the Court does not know—is not the same as disclosure by the social media platform itself. Finally, as the previous two points make clear, this argument veers into disputing the fact of actual reliance, which the Court will not determine on a motion to dismiss. In some ways, this is an academic issue. While claims based on affirmative statements in select states cannot stand absent allegations of reliance, the statements are nonetheless evidence probative of claims based on omissions

3. **Ascertainable Loss** Meta argues that the consumer-protection claims brought by personal injury plaintiffs in at least eighteen states should be dismissed for a failure to allege an ascertainable loss as a result of the alleged unfair or deceptive acts or practices.⁹³ Many states provide a private cause of action under the state's consumer-protection statute to a plaintiff who has suffered, with varying language, “any ascertainable loss of money or property, real or personal, as a result of the ... act or practice declared unlawful.” E.g., Idaho Code Ann. § 48-608(1)

(quoting *Serv. Rd. Corp. v. Quinn*, 241 Conn. 630, 698 A.2d 258, 262 (1997)) (discussing ascertainable loss under the Connecticut Unfair Trade Practices Act). Further, the “loss is ascertainable if it is measurable even though the precise amount of the loss is not known,” and “there is no need to allege or prove the amount of the actual loss.” *Id.* (quoting *Serv. Rd. Corp.*, 698 A.2d at 262). For certain claims, some states look to a “nexus between ascertainable loss and the plaintiff's expected benefit of the bargain.” *D'Agostino v. Maldonado*, 216 N.J. 168, 78 A.3d 527, 541 (2013); *Furst v. Einstein Moomjy, Inc.*, 182 N.J. 1, 860 A.2d 435, 438 (2004) (“ascertainable loss” was “the replacement value of the” customer's defective carpet, “not the purchase price”). [92] [93] For instance, in some states “economic losses, including medical expenses and lost wages” constitute ascertainable losses. *Simms v. Candela*, 45 Conn.Supp. 267, 711 A.2d 778, 781 (Conn. Super. Ct. 1998); see also *Little v. Brown & Williamson Tobacco Corp.*, 1999 WL 33291385, at (D.S.C. Mar. 3, 1999) (finding that “medical costs, lost earnings, and any other alleged out-of-pocket expenses” constitute ascertainable losses). By contrast, other states have held that “allegations of emotional distress” are insufficient to meet the ascertainable loss requirement. *Di Teresi v. Stamford Health Sys., Inc.*, 149 Conn.App. 502, 88 A.3d 1280, 1285 (2014). Further, ascertainable loss must be causally related to the defendant's conduct; that is, “[t]he question is whether plaintiffs have adequately pleaded ‘any ascertainable loss’ as ‘a result of’ defendant's alleged misrepresentation” *Paul v. Providence Health Sys.-Oregon*, 237 Or.App. 584, 240 P.3d 1110, 1120 (2010), *aff'd*, 351 Or. 587, 273 P.3d 106, 115 (2012) (affirming Court of Appeals determination that

money “expended to prevent or mitigate” “speculative” future harms “is not the kind of loss compensable under the UTPA”)

In general, personal injury plaintiffs seek recovery for “expenses for hospitalizations and medical treatments, and other economic harm that includes but is not limited to lost earnings and loss of earning capacity,” among other alleged harms. (2AMC at 269.) Allegations of medical expenses, [90] [91] While the state standards vary as to the lost earnings, and loss of earning capacity as a result of requirements at the pleading stage and the substance of defendants’ alleged unfair and deceptive acts and practices what constitutes an “ascertainable loss,” a few general suffice at the pleading stage to show an “ascertainable loss.” observations merit mention. In general, an ascertainable loss The defendants are correct that the extent and character “is a deprivation, detriment [or] injury that is capable of being of ascertainable loss will vary by the individual plaintiff discovered, observed or established.” *Marinos v. Poirot*, 308 —and some plaintiffs may well be unable to show an Conn. 706, 66 A.3d 860, 866 (2013) (alteration in original) ascertainable loss—but such a determination is better suited

to an analysis of the specific factual allegations brought by a plaintiff under that plaintiff’s applicable state law. Defendants are limited, practically speaking, from making such individualized allegations in the context of consolidated motions to dismiss in an MDL with hundreds of plaintiffs. Future dispositive motions with respect to the personal injury bellwether plaintiffs’ claims will provide an appropriate ground to precisely challenge evidence of ascertainable loss and the applicable framework. **** Defendants’ motion to dismiss Count 7 of the 2AMC is: Granted insofar as plaintiffs seek to impose liability on defendants’ affirmative statements under the laws of Arizona, California, Georgia, Indiana, Iowa, Nevada, North Carolina, Pennsylvania, South Dakota, Texas, and Virginia; Denied insofar as plaintiffs seek to impose liability on defendants’ affirmative statements under the laws of Colorado, Maine, Massachusetts, Minnesota, New Jersey, North Dakota, Ohio, Oregon, Rhode Island, and South Carolina; Denied insofar as plaintiffs seek to impose liability on defendants’ omissions or failures to disclose under the law of any at-issue state; and Denied without prejudice on the issue of ascertainable loss. B. Personal Injury Plaintiffs’ Consumer-Protection Claims Against Snap, YouTube, and TikTok [94] The YouTube, Snap, and TikTok defendants separately filed a two-page joinder as to Meta’s motion to dismiss Count 7 of the 2AMC. (Dkt. No. 519.) As these defendants note, “Rule 9(b) does not allow a complaint to merely lump multiple defendants together.” *Swartz v. KPMG LLP*, 476 F.3d 756, 764 (9th Cir. 2007). The Court thus considers personal injury plaintiffs’ consumer-protection claims against YouTube, Snap, and TikTok separately. These defendants argue that plaintiffs’ consumer-protection claims should fail because plaintiffs fail to present plausible allegations of a commercial transaction by any defendant, any actionable misstatements, or reliance on those misstatements

As elaborated above, the Court finds that plaintiffs have plausibly alleged activity in connection with a “commercial transaction” or in “trade or commerce.” (See *supra* Section V.C.) However, the Court must separately consider the actionability of any affirmative representations or omissions alleged by YouTube, Snap, and TikTok. In Count 7 of the 2AMC, plaintiffs allege, against all defendants, that they committed fraudulent, unfair, deceptive and/or abusive practices amounting to state consumerprotection violations including: (a) Representing that goods or services have approval, characteristics, uses, or benefits that they do not have; (b) advertising goods or services with the intent not to sell them as advertised; (c) engaging in deception, fraud, false pretense, false premise, misrepresentation, or knowing concealment, suppression, or omission of any material fact with the intent that a consumer rely on the same in connection with the

promotion of products and/or that creates a likelihood of confusion; and (d) Failing to provide adequate notice to parents about collecting personal information of children under the age of 13, as required by COPPA and accompanying regulations, the violation of which “shall be treated as a violation of a rule defining an unfair or deceptive act or practice.” 15 U.S.C. § 6502(c). (2AMC ¶ 962.) The gravamen of plaintiffs’ consumerprotection theory as rooted in defendants’ “false and misleading misrepresentations or omissions of material fact relating to the safety of its respective social media products.” (Id. ¶ 964.)⁹⁴ [95] Defendants note that the 2AMC lacks any allegations of affirmative statements by TikTok or YouTube. According to defendants, the 2AMC attributes one affirmative statement to Snap: “Snap’s Vice President of Global Public Policy, Jennifer Stout, stated in written testimony to a Senate Subcommittee that Snap takes ‘into account the unique sensitivities and considerations of minors when we design products’ when, in fact, Snap intentionally designed its product to promote compulsive and excessive use” (Id. ¶ 540 (footnote omitted).) Plaintiffs provide no direct response to these points

in their opposition.⁹⁵ On the other hand, as evident from the Court’s prior order, the complaint is replete with allegations as to each of these defendants’ deliberate design of platform features that they knew or should have known would pose unique risks of harm to children. See *Social Media I*, 702 F. Supp. 3d at 818–22. The YouTube, Snap, and TikTok defendants’ joinder to the motion to dismiss is Granted insofar as plaintiffs’ consumerprotection claims are based on these defendants’ affirmative statements. The standalone affirmative statement alleged against Snap is, without more, a nonactionable statement of opinion. See *In re Yahoo! Inc. Customer Data Sec. Breach Litig.*, 2017 WL 3727318, at . The joinder is Denied as to plaintiffs’ omissions and failure-to-warn theory of consumerprotection violations. As discussed above with respect to Meta, because plaintiffs’ consumer-protection claims against YouTube, Snap, and TikTok as limited proceeds solely under a failure-to-warn theory, the theory is not at this stage limited by Section 230. C. Personal Injury Plaintiffs’ Concealment and Misrepresentation Claims against Meta Only Meta moves to dismiss the personal injury plaintiffs’ claims of fraudulent concealment and misrepresentation (Count 8) and negligent concealment and misrepresentation (Count 9). These are not asserted against the other MDL defendants. [96] “While some components of a fraud claim vary from state to state, ‘the fundamental elements of fraud are substantially similar from state to state.’ ” *In re Soc. Media Adolescent Addiction/Pers. Inj. Prod. Liab. Litig.*, 2024 WL 1786290, at (N.D. Cal. Apr. 15, 2024) (quoting *In re Takata Airbag Prod. Liab. Litig.*, 677 F. Supp. 3d 1311, 1330 (S.D. Fla. 2023)). “Generally, the state fraudulent misrepresentation claims at issue here require plaintiffs to show (1) a false representation, (2) the speaker’s knowledge of its falsity, (3) an intent to defraud, (4) the hearer’s reasonable or justifiable reliance on the statement, (5) and consequent and proximate injury.” Id. [97] “As to claims of negligent misrepresentation, again with some variation, the core elements include: (1) a false representation, (2) the speaker’s intent to induce the hearer’s reliance on the statement, (3) the speaker’s failure to exercise reasonable care in communicating the information (i.e.,

breach of a duty of care), (4) the hearer’s reasonable or justifiable reliance, and (5) consequent and proximate injury.” Id. Meta reincorporates many of its earlier arguments against the States as to the personal injury plaintiffs’ concealment and misrepresentation claims, and further levies arguments specific to claims of negligent misrepresentation by omission. The Court considers each set in turn

1. Section 230, Statements of Opinion, Noerr-Pennington, Reliance, Falsity, and Materiality As above, Meta reincorporates by reference prior arguments levied against the States’ claims. The Court’s reasoning with respect to the consumer protection claims applies to the plaintiffs’ fraudulent and negligent

concealment and misrepresentation claims are similarly incorporated herein: (i) allegations based on an omission or failure to warn of harmful platform features are not at this stage barred by Section 230 (see *supra* Section IV); (ii) plaintiffs plead actionable statements by Meta (see *supra* Section V.A.1); (iii) the Noerr-Pennington doctrine is no bar on the facts alleged (see *supra* Section V.A.4); and the sufficiency of allegations for fraud (iv) as to reliance and falsity (see *supra* Sections V.A.2, VI.A.2); and (v) materiality (see *supra* Section V.A.3). The Court Grants in part and Denies in part the Meta's motion to dismiss the personal injury plaintiffs' fraudulent and negligent concealment and misrepresentation claims to the same extent as assessed above with respect to the States

2. Negligent Misrepresentation by Omission: Whether Recognized by Any At-Issue States Next, Meta asserts that at least eighteen states do not recognize a claim for negligent misrepresentation by omission: California, Colorado, Georgia, Hawai'i, Kansas, Kentucky, Maryland, Michigan, Nebraska, Nevada, North Carolina, Ohio, Oregon, South Carolina, Texas, Virginia, Washington, and Wisconsin. (Dkt. No. 662 at 39; Dkt. No. 662-1 at 25–27.)

“When a federal court sitting in diversity is presented with a novel issue of state law, the federal court must consider how that state's highest court would likely decide the issue.” *In re Packaged Seafood Prod. Antitrust Litig.*, 635 F. Supp. 3d 1061, 1071 (S.D. Cal. 2022). The Court considers how each state's high court might decide this issue

a) States Prohibiting or Unlikely to Permit Negligent Misrepresentation by Omission

No. 20-cv-00781, 2020 WL 5203787, at (D. Colo. Sept. 1, 2020); *Licerio v. Lamb*, No. 20-cv-00681, 2021 WL 4556092, at n.42 (D. Colo. July 15, 2021), report and recommendation adopted, 2021 WL 4167341 (D. Colo. Sept. 14, 2021), *aff'd*, No. 21-1375, 2022 WL 4100400 (10th Cir. Sept. 8, 2022); *Martin v. Chinese Child. Adoption Int'l*, No. 19-cv-02305, 2020 WL 6585796, at –14 (D. Colo. Nov. 10, 2020). Accordingly, this Court declines to permit negligent misrepresentation claims not grounded in affirmative statement under Colorado law

The motion is also granted as to claims of negligent [99] [100] [101] [102] [103] [104] [105] [106] The Court has already preliminarily determined that misrepresentation by omission under Colorado law. Georgia, Maryland, North Carolina, and Ohio do not or are not likely to recognize claims for negligent misrepresentation by omission. *In re Soc. Media Adolescent Addiction/Pers. b) States with Sufficient Authority to Permit Negligent Inj. Prod. Liab. Litig.*, 2024 WL 1786290, at & n.10.96 The Court further determines that negligent misrepresentation by omission is not recognized in California, Kentucky, and Washington. The caselaw is cited below.⁹⁷ The motion is granted as to those seven states. [107] The Court previously discussed the availability of negligent misrepresentation by omission under Colorado law, and now determines such claims are not likely viable under that state's law. Previously, the Court noted that Colorado courts disagree as to whether negligent misrepresentation by omission can lead to liability. *In re Soc. Media Adolescent Addiction/Pers. Inj. Prod. Liab. Litig.*, 2024 WL 1786290, at & n.12; compare, e.g., *Craig Hosp. v. Tyson Foods, Inc.*, No. 17-cv-02534, 2019 WL 5095737, at (D. Colo. July 22, 2019) (collecting cases) (“[T]he Court concludes that the Colorado Supreme Court would require that a negligent misrepresentation claim be grounded in affirmative statements.”), with *Elevation 10175, LLC v. Douglas County Ins. Services, Inc.*, No. 19CV30015, 2020 WL 11271852, at (Colo. Dist. Ct. Dec. 01, 2020) (“Though such caselaw is sparse, the court finds sufficient support in the opinions of higher courts to conclude that the negligent omission of information can lead to liability in Colorado.”). While these

Colorado appellate courts have evidently not addressed the question further, one federal district court in Colorado confronted with this question has consistently held that “the Colorado Supreme Court would require that a negligent misrepresentation claim be grounded in affirmative statement.” *Cahey v. Int’l Bus. Machines Corp.*,

Misrepresentation by Omission

The Court preliminarily determines that sufficient authority exists to permit claims of negligent misrepresentation by omission to proceed under the laws of Michigan and Nevada. [108] Michigan. The Michigan Court of Appeals has “declined to extend the tort of negligent misrepresentation beyond the misrepresentation of facts that can be independently verified.” *The Mable Cleary Tr. v. The Edward Marlah Muzyl Tr.*, 262 Mich.App. 485, 686 N.W.2d 770, 783 (2004), overruled on other grounds by *Titan Ins. Co. v. Hyten*, 491 Mich. 547, 817 N.W.2d 562, 568 n.4 (2012). Meta cites caselaw which asserts this proposition from *The Mable Cleary Tr.* means that “a claim for negligent misrepresentation must be based on misrepresentations of fact, not on opinions or omissions.” *Donald v. Hi-Tec Bldg. Servs., Inc.*, 2013 WL 5521632, at (W.D. Mich. Oct. 3, 2013). Plaintiffs respond with citation to *Burket*, which considered this interpretation “misplaced” and noted in particular that (1) the Supreme Court of Michigan in *Williams v. Polgar* permitted liability for negligent misrepresentation based on an omission, and (2) the at-issue omission (an individual’s access to certain bank accounts) is a fact that can be independently verified. *Burket v. Hyman Lippitt, P.C.*, 560 F. Supp. 2d 571, 597 & n.22 (E.D. Mich. 2008) (discussing *Williams v. Polgar*, 391 Mich. 6, 215 N.W.2d 149, 154–57 (1974)).⁹⁸ “It follows then that a claim for negligent misrepresentation under Michigan law can be based on omissions so long as there is a duty to disclose.” *Id.* The Court agrees with *Burket*’s assessment and permits

plaintiffs’ claims of negligent misrepresentation by omission under Michigan law to proceed. [109] Nevada. The Supreme Court of Nevada has affirmed summary judgment on a “negligent misrepresentation claim because” the defendant “neither made an affirmative false statement nor omitted a material fact it was bound to disclose.” *Noonan v. Bayview Loan Servicing, LLC*, 135 Nev. 695, 438 P.3d 335 (2019). While there is potential for a more nuanced construction of this statement, because Meta is unable to provide further clarity at this stage, this Court will permit the plaintiffs’ claims of negligent misrepresentation by omission under Nevada law to proceed

c) States Without Clear Authority as to Negligent Misrepresentation by Omission As to Hawai‘i, Kansas, Oregon, Nebraska, South Carolina, Texas,⁹⁹ Virginia, and Wisconsin, the parties’ cited cases provide an insufficient basis to determine whether the supreme courts of those states would either endorse or reject a claim of negligent misrepresentation by omission.¹⁰⁰ See *In re Packaged Seafood Prod. Antitrust Litig.*, 635 F. Supp. 3d at 1071. [110] For instance, consider Nebraska. In *Gibb v. Citicorp Mortg., Inc.*, the Supreme Court of Nebraska adopted the tort of negligent misrepresentation as defined in Restatement (Second) of Torts § 552 (1977). *Creighton Univ. v. Gen. Elec. Co.*, 2009 WL 756206, at (D. Neb. Mar. 18, 2009) (citing *Gibb v. Citicorp Mortg., Inc.*, 246 Neb. 355, 518 N.W.2d 910, 921 (1994)). “One may be liable for negligent misrepresentation ‘if one fails to exercise the level of care required under the circumstances.’ ” *Cargill v. Kroeger*, 2012 WL 12884553, at (D. Neb. Aug. 15, 2012) (quoting *Gibb*, 518 N.W.2d at 921). In support of its position that Nebraska does not recognize negligent misrepresentation by omission, Meta cites to a Supreme Court of Nebraska case predating *Gibb* which evaluated the scienter applicable to a fraudulent concealment claim. *Nelson v. Cheney*, 224 Neb. 756, 401 N.W.2d 472, 476 (1987). The *Nelson* court discussed a prior case “in which [the court] determined that

‘intent to deceive’ was not a necessary element of a cause of action for false representation.” Id

(citing *Nielsen v. Adams*, 223 Neb. 262, 388 N.W.2d 840 (1986)). Instead, the court had permitted a misstatement of a material fact made “recklessly, without having proper knowledge from a reasonable inquiry,” to support a cause of action for false representation. Id. Nonetheless, the Nelson court determined that “we do not believe it wise or good public policy to adopt a theory of negligent concealment in the vendor/purchaser setting.” Id. The Nelson court's decision is more nuanced than Meta suggests and explicitly limits its reference to “negligent concealment” to its circumstances. Absent a more tailored showing of how the Supreme Court of Nebraska might approach this question, the Court declines to dismiss personal injury plaintiffs’ negligent misrepresentation by omission claims under Nebraska law at this stage. [111] Because the burden on a motion to dismiss falls to the moving party, and because plaintiffs’ claims of negligent misrepresentation by omission are not dispositive of their actions, plaintiffs’ claims of negligent misrepresentation by omission under the laws of Hawai‘i, Kansas, Nebraska, South Carolina, Virginia, and Wisconsin survive Meta's motion to dismiss. The parties will have an opportunity to provide a more nuanced view of how those states’ supreme courts would approach this question as to any applicable bellwether plaintiffs on summary judgment. Meta's motion to dismiss personal injury plaintiffs’ claims of negligent misrepresentation by omission is Granted as to plaintiffs bringing claims under the laws of California, Colorado, Georgia, Kentucky, Maryland, North Carolina, Ohio, and Washington, and Denied as to the laws of other states. VII. CONCLUSION To summarize, Meta's motion to dismiss is largely Denied.¹⁰¹ The Court outlines here the scope limitations set forth in this order. • States’ COPPA Claims The motion is Denied. Two theories can be asserted for this claim. With respect to the first, Meta concedes that the States’ have alleged actual knowledge of under-13 users. With respect to the second, the Court Holds that third-party content

hosted by a platform can be considered when determining whether the platform, or a portion thereof, is “directed to children” under COPPA

to petition and merit protection under the Noerr-Pennington doctrine

- Section 230 The motion is Granted in Part and Denied in Part utilizing the same approach the Court employed in *Social Media I*, 702 F. Supp. 3d at 824–35. Meta did not seek to move to dismiss the States’ COPPA claim nor the States’ consumer-protection claims predicated on Meta's allegedly deceptive affirmative representations as barred by Section 230, and thus, the claim proceeds

- Theory Based on Unfair and/or Unconscionable Acts and Practices

The motion to dismiss is Granted to the extent the States’ theories of unfair and unconscionable acts and practices target the following platform features: infinite scroll and autoplay; ephemeral content; how Meta designed and deployed audiovisual and vibration notifications and alerts; the quantification and display of likes; how Meta algorithmically served content to young users

- Scope of Consumer Protection Statutes

The motion to dismiss is Denied. Plaintiffs’ have presented sufficient allegations under various tests, including Section 5 of the FTC Act, the Sperry factors, and the various statespecific considerations Meta has raised

The motion to dismiss is Denied as to the States' theories of unfair and unconscionable acts and practices concerning appearance altering filters; platform features that hindered time restrictions; and Instagram's "multiple accounts" function

The motion to dismiss on the grounds that certain states' statutory language provide for a narrower scope than is alleged is Denied. The States and personal injury plaintiffs have adequately alleged conduct occurring in connection with a "consumer transaction," or in "trade or commerce" as specific states' laws require. Additionally, Meta has not sustained its burden as to whether the personal injury plaintiffs asserting claims arising under Alabama, Texas, and Vermont are "consumers" under those states' laws as to permit a private right of action for unfair and deceptive acts and practices

The motion to dismiss is Denied insofar as the states' claims and the personal injury plaintiffs' consumer-protection, misrepresentation, and concealment theories seek to impose liability for a failure to warn of known risks of addiction attendant to platform features or as to platform construction in general

- Restitution The motion to dismiss is Denied. Given state-specific nuances as to the scope of available restitution under consumer-protection claims brought by state attorneys general, Meta's approach cuts too broadly at this preliminary stage

- Consumer Protection Claims • Theory Based on Deceptive Acts and Practices The motion to dismiss is Denied. The States have alleged at least some material representations that, drawing all reasonable inferences in the States' favor, could be considered deceptive by a factfinder. The Court declines to parse and strike individual statements at the motion-to-dismiss stage. Currently, nothing in the record suggests that Meta's statements to Congress implicate its First Amendment right

- Personal Injury Plaintiffs' Claims as to Meta • Consumer-Protection, Concealment Claims

Misrepresentation,

and

The motion to dismiss is Granted in Part and Denied in Part largely to the same extent assessed as to the States' claims on the issues of Section 230, statements of opinion, and the Noerr-Pennington doctrine. With respect to arguments of reliance:

The motion to dismiss is Granted under the laws of Arizona, California, Georgia, Indiana, Iowa, Nevada, North Carolina, Pennsylvania, South Dakota, Texas, and Virginia for claims predicated on affirmative statements for failure to plead reliance; The motion to dismiss is Denied under the laws of Colorado, Maine, Massachusetts, Minnesota, New Jersey, North Dakota, Ohio, Oregon, Rhode Island, and South Carolina for claims predicated on affirmative statements; and The motion to dismiss is Denied insofar as plaintiffs seek to impose liability on defendants' omissions or failures to disclose under the law of any at-issue state

- Negligent Misrepresentation by Omission The motion to dismiss is Granted as to plaintiffs bringing claims under the laws of California, Colorado, Georgia, Kentucky, Maryland, North Carolina, Ohio, and Washington and Denied as to the laws of other states. • Personal Injury Plaintiffs' Consumer Protection Claims as to YouTube, Snap, and TikTok The personal injury plaintiffs' consumer-protection claims against YouTube, Snap, and TikTok are Granted to the extent based on affirmative statements and Denied to the extent based on an omissions or failure-to-warn theory. In short, the States' consumer-protection

claims against Meta under the unfair and unconscionable acts and practices prong that target the design, development, and deployment of three platform features—appearance altering filters, features hindering time restrictions, and the “multiple accounts” function—survive as to all States so asserting. The States’ claims against Meta under the deceptive acts and practices prong survive as to all affirmative statements, and as to a failure to warn of known risks of addiction attendant to platform features or as to platform construction in general. The personal injury plaintiffs’ consumer-protection, concealment, and misrepresentation claims against Meta are limited to the same extent as the States’ deceptive acts and practices claims, and additionally (i) to the extent predicated on affirmative statements, are dismissed where arising under

the laws of Arizona, California, Georgia, Indiana, Iowa, Nevada, North Carolina, Pennsylvania, South Dakota, Texas, and Virginia, (ii) survive to the extent such claims seek to impose liability under a “pure” omissions or failure-to-warn theory under the law of any state, (iii) except claims of negligent misrepresentation by omission are dismissed under the laws of California, Colorado, Georgia, Kentucky, Maryland, North Carolina, Ohio, and Washington. The personal injury plaintiffs’ consumer-protection claims against YouTube, Snap, and TikTok survive only to the extent based on an omissions or failure-to-warn theory. This terminates Dkt. No. 517 in Case No. 22-md-03047; Dkt. No. 83 in Case No. 23-cv-05448; and Dkt. No. 15 in Case No. 23-cv-05885. It Is So Ordered

ATTACHMENT A TABLE OF CONTENTS I. Background...865 A. Procedural Background...865 B. Relevant Facts Alleged...866 1. Meta's Alleged Design and Deployment of Harmful Platform Features Targeting Young Users...866 2. Meta's Alleged Awareness and Concealment of Harmful Platform Features From the Public...869 3. COPPA Allegations...871 C. Theories of Liability...872 1. Deceptive Acts and Practices...873 2. Unfair and/or Unconscionable Acts and Practices...873 II. Legal Framework...874 III. The Children's Online Privacy Protection Act...875

IV. Section 230...878 A. Overview...878

C. Statutory Scope of Consumer Protection Claims...906 1. “Consumer Transaction” or “Consumer Goods or Services”...906

B. Legal Framework...878 C. Unfair and Unconscionable Acts: Platform Development and Design...880 1. Features Previously Barred by Section 230...880

2. “Trade or Commerce”...910 3. “Consumer”...913 D. Restitution...914

2. Features Previously Not Barred by Section 230...883 D. Deceptive Theory...885

Acts

and

Practices:

Failure-to-Warn

V. Consumer Protection Claims against Meta...889 A. Deceptive Acts and Practices...889 1. Puffery and Opinion...889 2. Sufficiency of Pleading Falsity under Rule 9(b)...891 3. Materiality of Alleged Deceptions...893 4. Noerr-Pennington...894 B. Unfair and/or Unconscionable Business Acts or Practices...895 1. Section 5 of the FTC Act...895 2. The Sperry Factors...898 a) Whether Sperry

Applies...898 b) Applying the Sperry Factors...899 3. State-Specific Standards...899 a) California...899 b) Colorado...901 c) Indiana...903 d) Kansas...904 e) New Jersey...904 f) Oregon...905

VI. Personal Injury Plaintiffs' Claims...917 A. Personal Injury Plaintiffs' Consumer-Protection Claims Against Meta Only...917 1. Prior Rulings...917 2. Actual Reliance...918 a) Disputed State Standards...918 b) Evaluating Actual Reliance...920 3. Ascertainable Loss...922 B. Personal Injury Plaintiffs' Consumer-Protection Claims Against Snap, YouTube, and TikTok...923 C. Personal Injury Plaintiffs' Concealment Misrepresentation Claims against Meta Only...925

and

1. Section 230, Statements of Opinion, Noerr-Pennington, Reliance, Falsity, and Materiality...925 2. Negligent Misrepresentation by Omission: Whether Recognized by Any At-Issue States...926 a) States Prohibiting or Unlikely to Permit Negligent Misrepresentation by Omission...926 b) States with Sufficient Authority to Permit Negligent Misrepresentation by Omission...927 c) States Without Clear Authority as to Negligent Misrepresentation by Omission...928 VII. Conclusion...930